



Deutsche Bank
Research

Europe Macro Outlook 2026

*The two-economy problem:
resilience vs rigidity amid an energy shock*

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IMPORTANT RESEARCH DISCLOSURES AND ANALYST CERTIFICATIONS LOCATED IN APPENDIX 1. UNTIL 19th MARCH 2021 INCOMPLETE DISCLOSURE INFORMATION MAY HAVE BEEN DISPLAYED, PLEASE SEE APPENDIX 1 FOR FURTHER DETAILS.



Framing: 'Two-economy' problem

- **Pre-conflict: European economy caught between cyclical resilience and structural rigidity**

- ❑ Resilience: Despite external headwinds (tariffs, etc), GDP exceeded expectations at 1.5% in 2025 due to domestic demand
- ❑ Rigidity: The world is changing and Europe needs to invest/innovate/reform to regain competitiveness, obtain autonomy
- ❑ German fiscal easing expected to underpin growth resilience in 2026 – but impulse proving slower than expected

Warning: Middle East conflict has unleashed second energy shock in 4 years

- **Europe highly exposed to rising cost of imported energy**

- ❑ GDP growth lowered to 0.5% in 2026 (1.1% pre-conflict estimate), HICP raised to 3.1% (1.8% pre-conflict estimate)
- ❑ Stagflation dynamics: survey data consistent with risk of persistent inflation; economy threatened by contraction
- ❑ 'Measured' ECB tightening, at most: good risk management between upside inflation risk and downside growth risk

Weak competitiveness – in need of strategic autonomy

- **Europe needs strategic autonomy to create power and leverage in an increasingly geopolitical and frictional world**

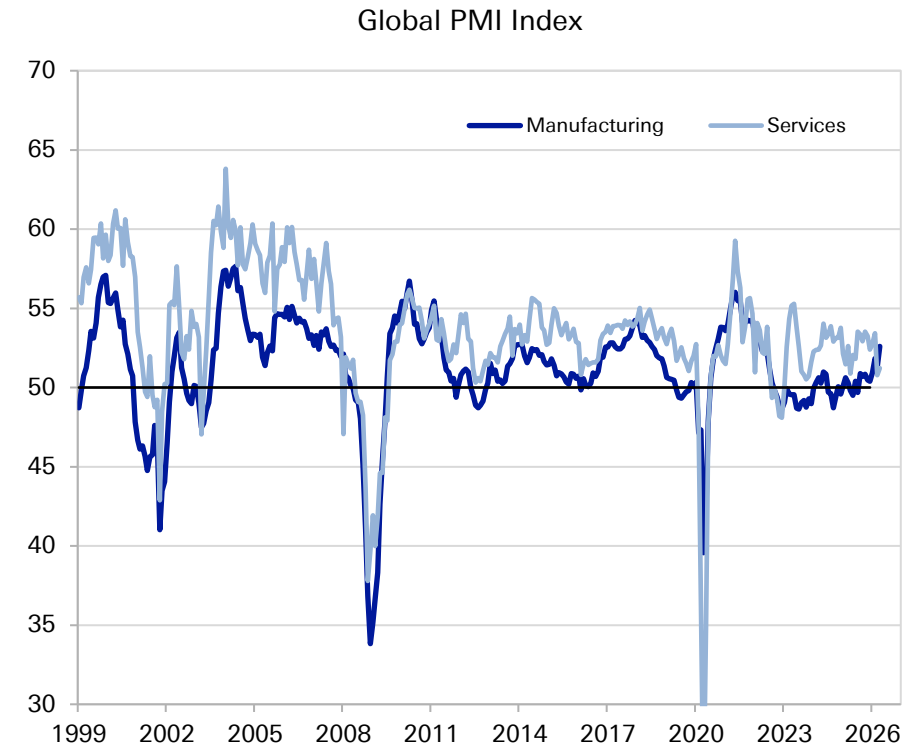
- ❑ Defence spending will inevitably need to rise further as Europe builds own deterrence capabilities
- ❑ Greater autonomy also needed in energy, technology, supply chains, financing, payments, etc
- ❑ Significant investment needs – but high public indebtedness and political fragmentation are hurdles

World Outlook 2026: *Anything but dull*



2026 promised to be anything but dull. It is living up to expectations: the extraction of President Maduro from Venezuela, the AI/Tech sector correction, threats to Greenland, private credit tensions, overturning of the IEEPA tariffs, and war in Iran with a new energy shock. Even if geopolitics quietens, AI is likely to come back and dominate market sentiment and drive boom-and-bust narratives.

	Real GDP,% YoY			CPI inflation,% pavg		
	2025	2026	2027	2025	2026	2027
Global	3.4	3.3	3.3	3.4	4.0	3.6
US	2.1	2.4	2.2	2.7	3.3	2.5
Japan	1.2	0.8	1.0	3.2	1.8	2.2
Euro area	1.5	0.5	1.1	2.1	3.0	2.4
UK	1.4	0.9	1.2	3.4	3.1	2.6
China	5.0	4.9	4.5	0.1	1.6	2.0
India	7.5	6.7	7.2	2.2	4.6	4.2
Brazil	2.3	1.9	1.7	5.0	4.1	4.3
G7	1.6	1.6	1.7	2.5	2.9	2.4
Developed Markets	1.7	1.5	1.6	2.6	3.0	2.4
Emerging Markets	4.5	4.4	4.4	3.9	4.7	4.4
EEMEA	3.0	2.9	3.3	11.5	10.1	9.0
Asia (ex Japan)	5.5	5.3	5.1	0.9	2.6	2.7
LatAm	1.9	1.9	1.9	4.4	4.3	4.2

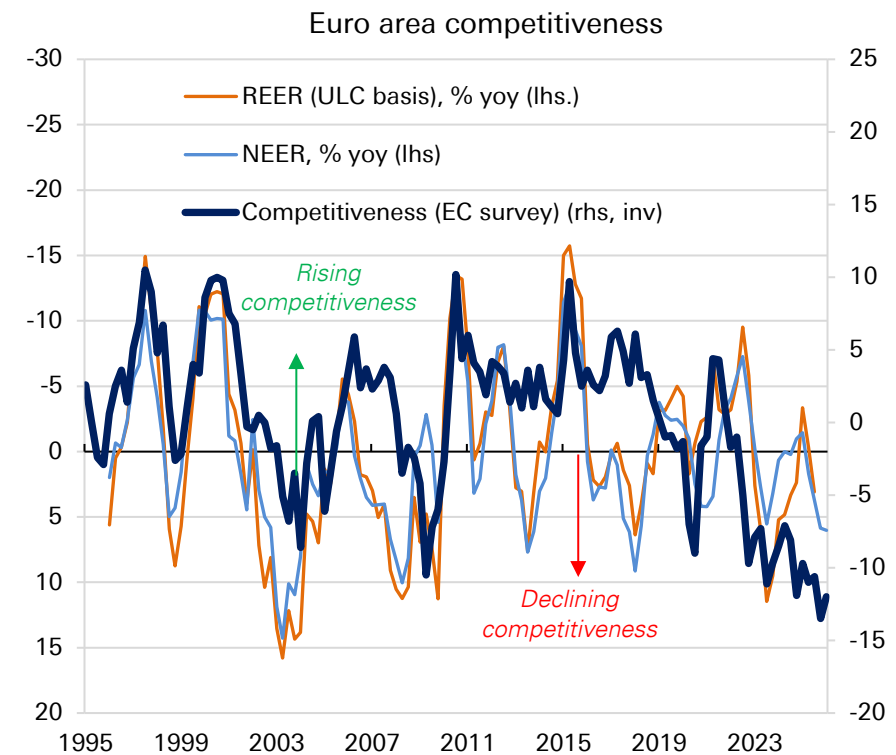
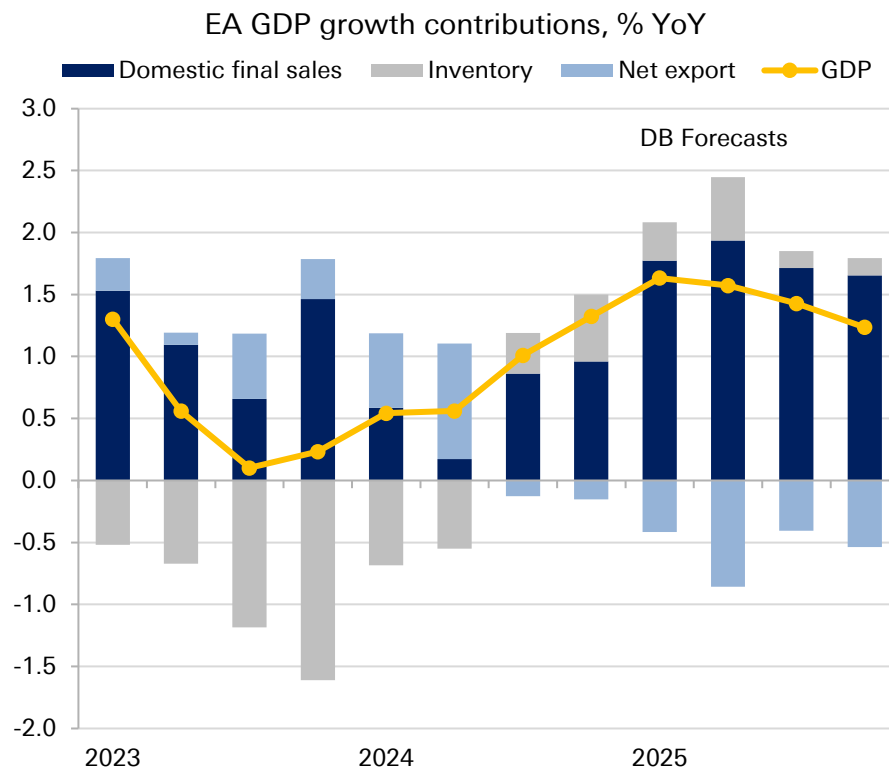


Source: Deutsche Bank, S&P Global. See "World Outlook: 2026: Anything but dull", 24 November 2025

Europe's “two-economy problem”: *Resilience vs. Rigidity*



The more upbeat perspective on Europe puts emphasis on ‘resilience’. Growth outperformed expectations in 2025 despite the external headwinds, thanks to a robust labour market, effective monetary transmission, etc. Germany’s expansionary fiscal policy was expected to add resilience in 2026. The more downbeat perspective emphasizes Europe’s ‘rigidity’. We are in a rapidly changing world marked by geostrategic economic competition. Europe should be innovating, investing, reforming – and is finding this difficult.



Source: Deutsche Bank, ECB, Eurostat, Haver Analytics LP, See “The two-economy problem”, [Focus Europe](#), 5 December 2025

Iran Shock: *A new energy price shock*



Russia's invasion of Ukraine in 2022 reminded us of something important. Just as the GFC showed how sensitive economic growth is to the supply of credit, economic growth is also sensitive to the supply of energy. All economic activity has an energy counterpart, some high, some low. When energy costs are high, and in particular when energy is in short supply, it is very difficult for the economy to grow. The chart below shows real oil prices with US recessions shaded

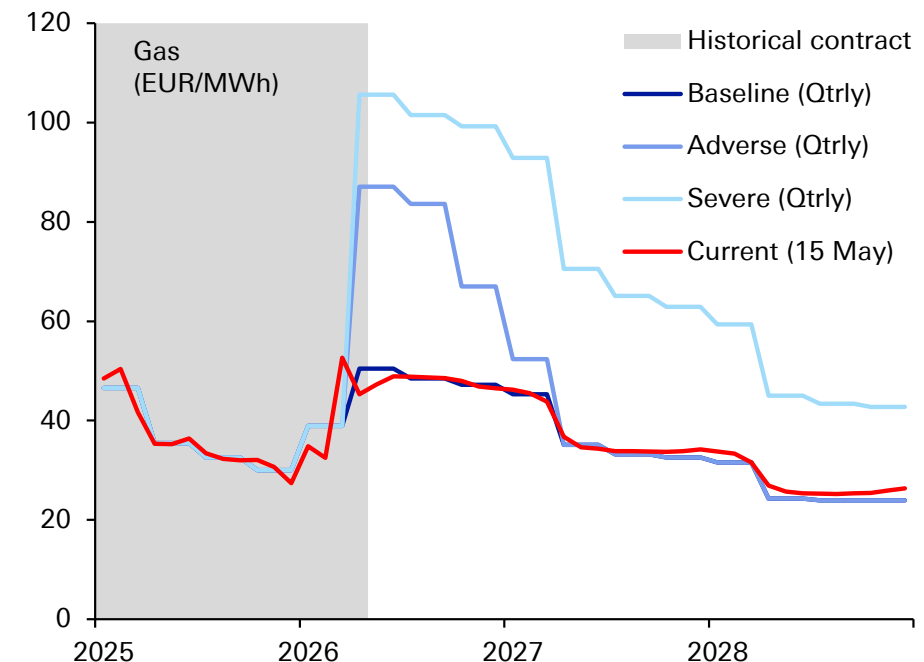
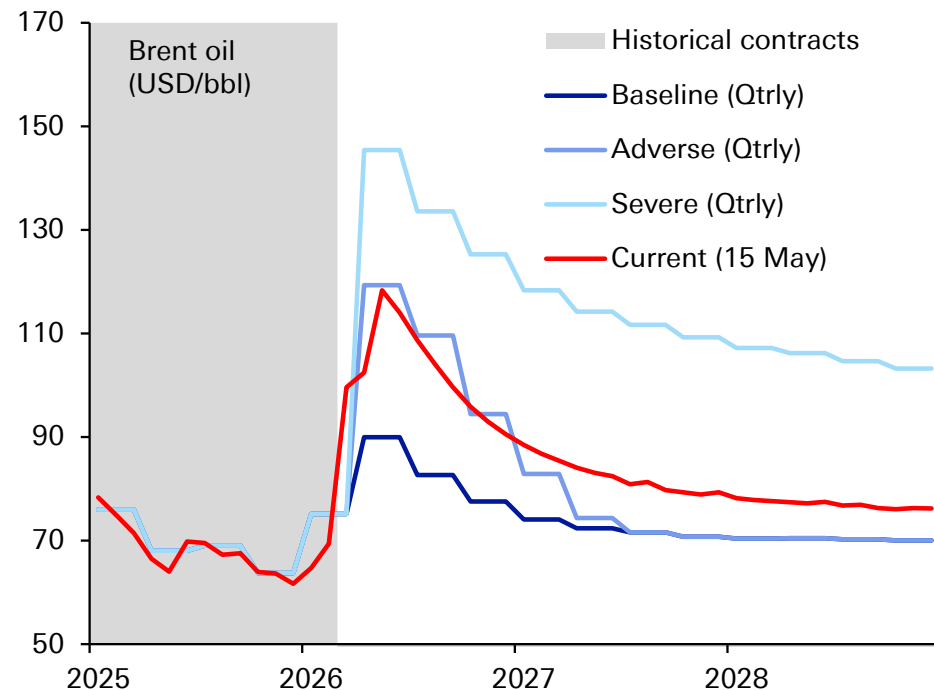


Source: Deutsche Bank, Finaeon, Haver Analytics LP. See "DB CoTD: A long way from recession... for now...", *Thematic Research*, 3 March 2026

Iran Shock: *Signs of persistently higher oil prices*



The global economy, and Europe, is in a highly contingent situation. The path of economies and policy will be a function of energy prices. The ECB has developed a baseline scenario and two risk scenarios: adverse and severe. Gas prices are very close to the ECB's baseline scenario. 2026 oil prices have converged to the adverse scenario. 2027 oil prices remain above the adverse scenario.

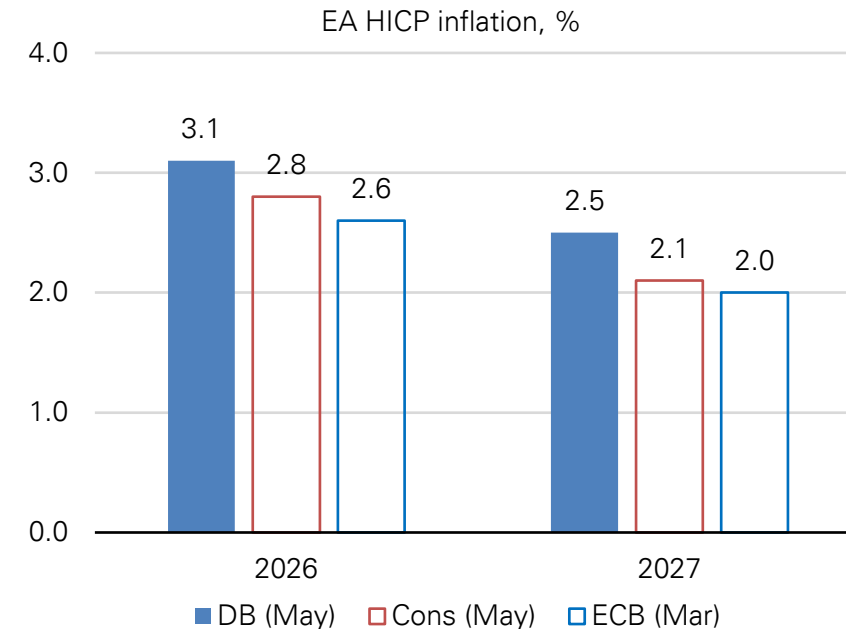
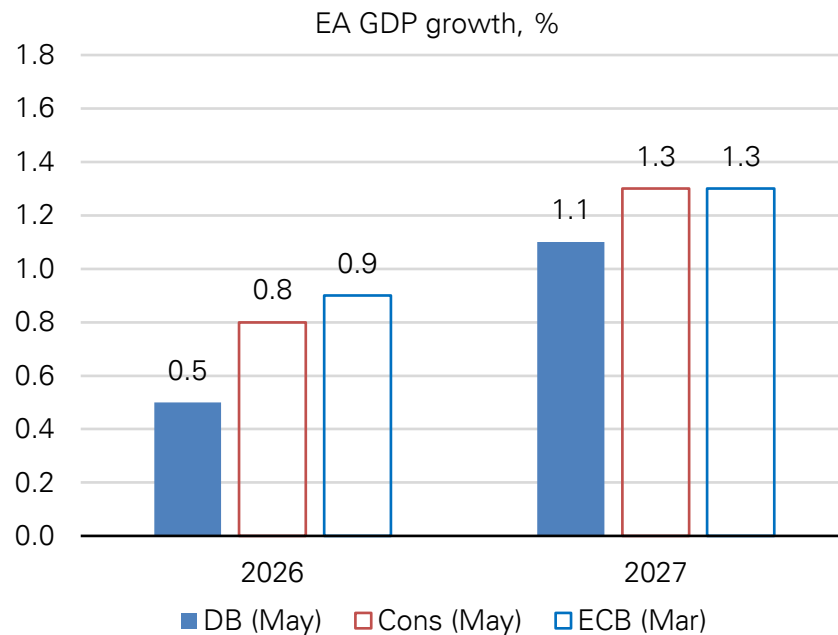


Source: Deutsche Bank, "Baseline or adverse? The Strait of Hormuz is "completely open"", [Europe Chart of the Week](#), 17 April 2026

Euro Area Macro Forecasts: *Inflation up, growth down*



The energy shock is having a detrimental impact on the outlook. Our baseline forecast sees GDP growth at 0.5% in 2026 (1.1% pre-conflict) and 1.1% in 2027 (1.3% pre-conflict). We forecast HICP inflation at 3.1% in 2026 (1.8% pre-conflict) and 2.5% in 2027 (1.9% pre-conflict). We think the consensus and ECB are underestimating inflation and as a consequence overestimating growth.

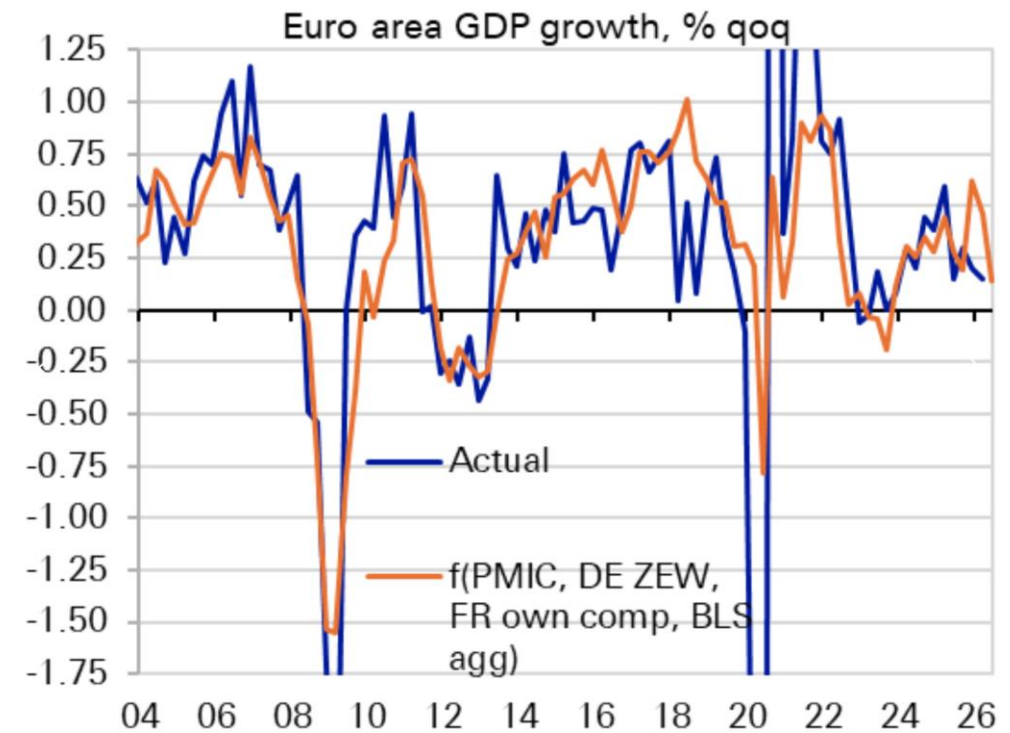
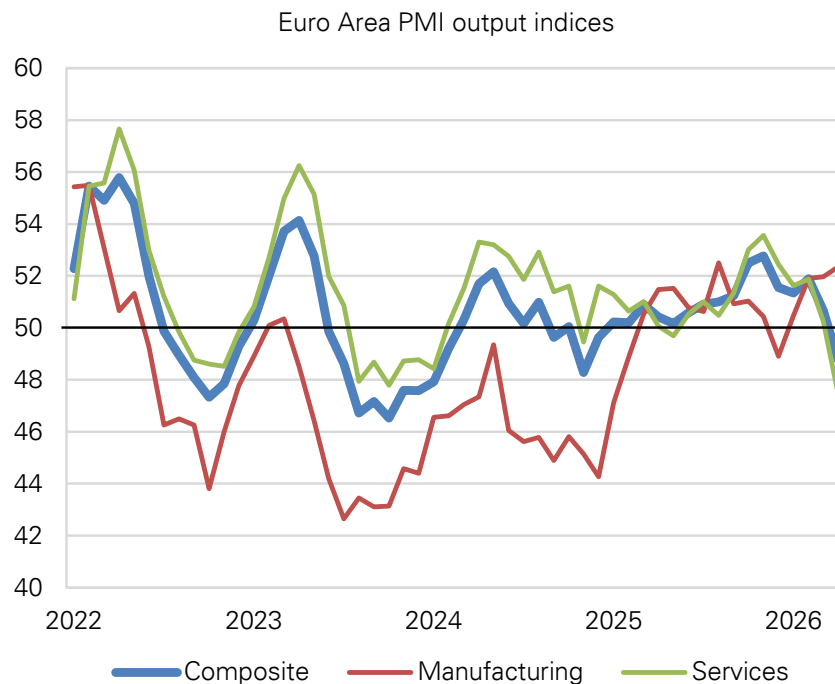


Source: Deutsche Bank, Bloomberg Finance LP, ECB

Growth Signals: *Soft in Q2, with downside risks*



The euro area composite output PMI index fell in April to a level consistent with -0.1% qoq GDP growth. The weakness is less evident in manufacturing – where supply shortages may be temporarily lifting demand – and more obvious in services – where inflation expectations are hitting demand. The DB FIS tracker (RHS) implies growth of +0.1% qoq in Q2 (weaker ZEW and BLS have weighed on the signal recently).

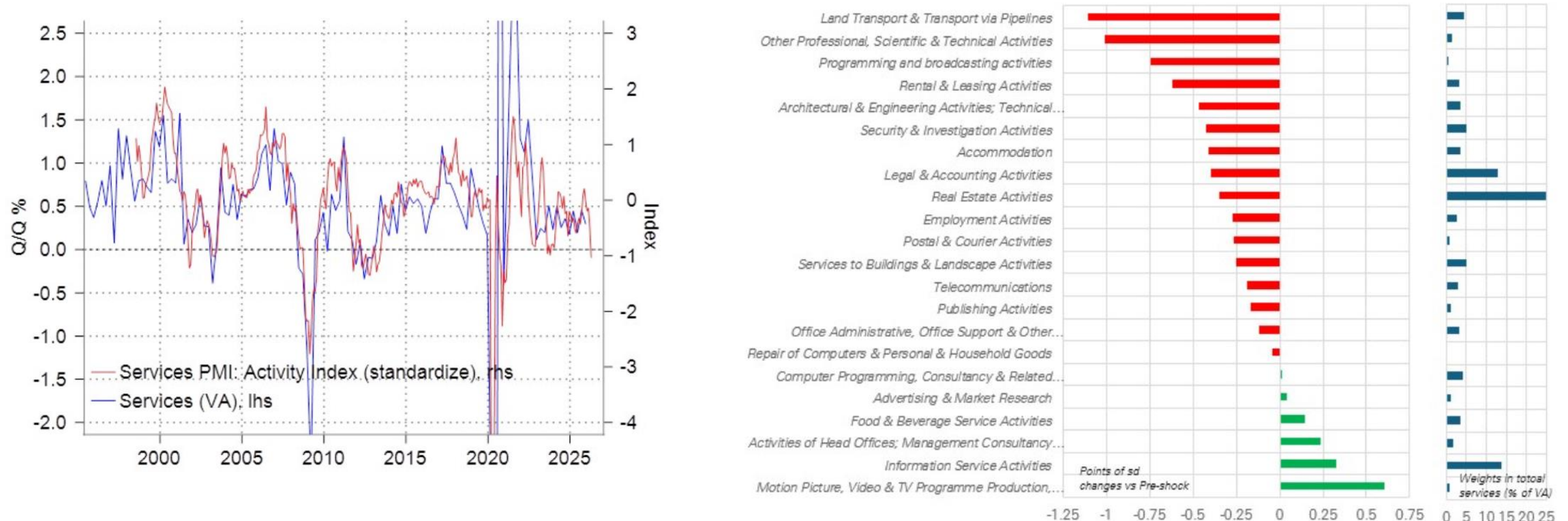


Source: Deutsche Bank, ECB, S&P Global, ZEW, INSEE, Haver Analytics LP

Activity Shock: *Energy shock more clearly impacting services activity*



The recent loss of economic momentum is more obvious in services, where the countries reporting the largest drops in consumer confidence (because of rising inflation) are also the countries reporting the largest drops in PMI services activity.

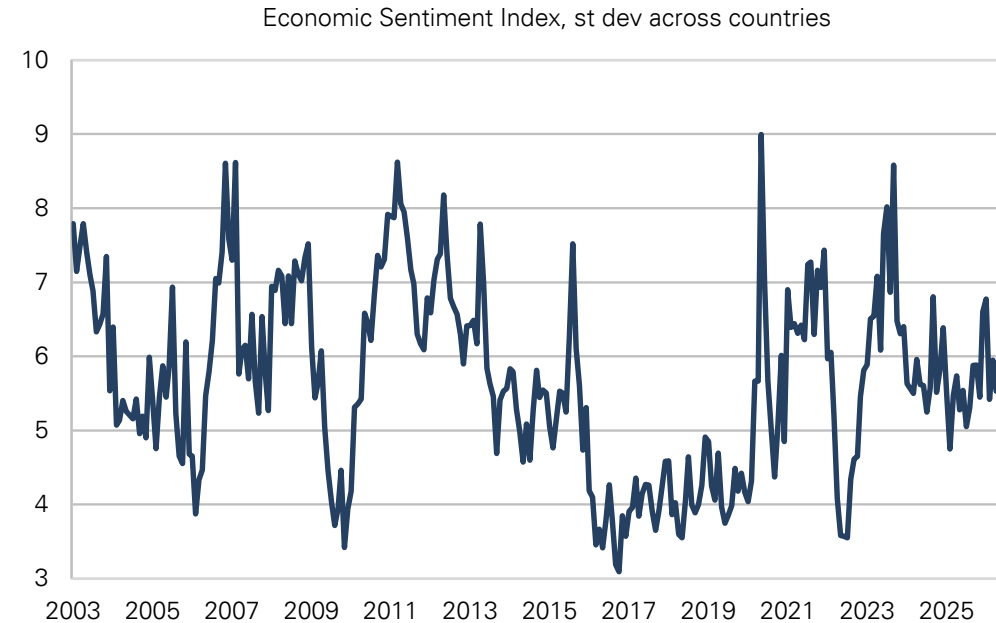
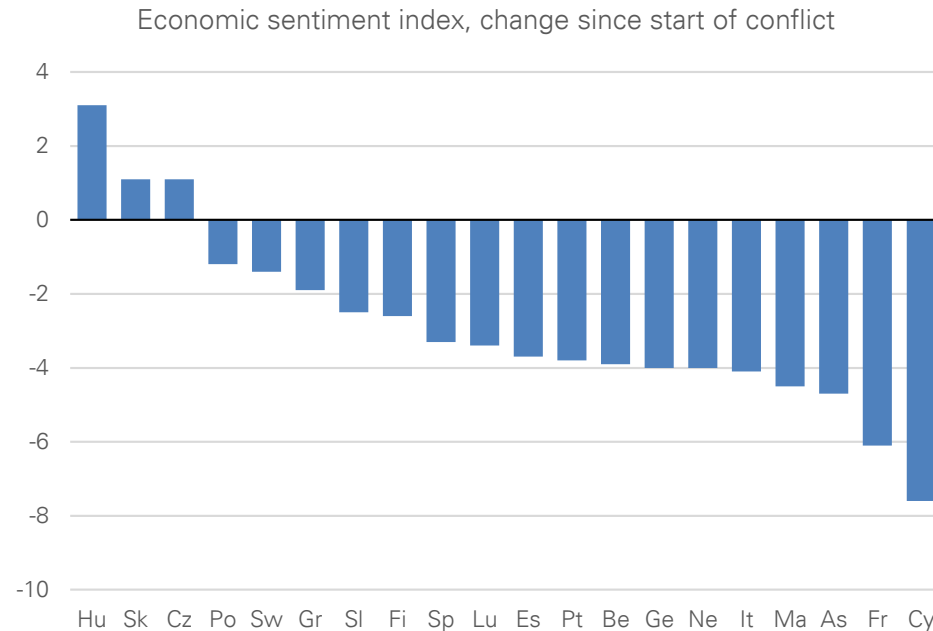


Source: Deutsche Bank, "Delving Deeper: Services prices and demand destruction", [Europe Chart of the Week](#), 15 May 2026

Divergence: *Energy shock is largely a common shock across member states*



The change in the European Commission's Economic Sentiment Index (ESI) – a good gauge of economic growth – shows a spread of conditions in the two months since the start of the Middle East conflict (LHS). The CEE economies are most resilient, perhaps reflecting the larger role of manufacturing in those economies and the potentially transitory stock-building impulse. The standard deviation of ESIs across the member states is at average levels (RHS). There is no sense yet of asymmetric shock.

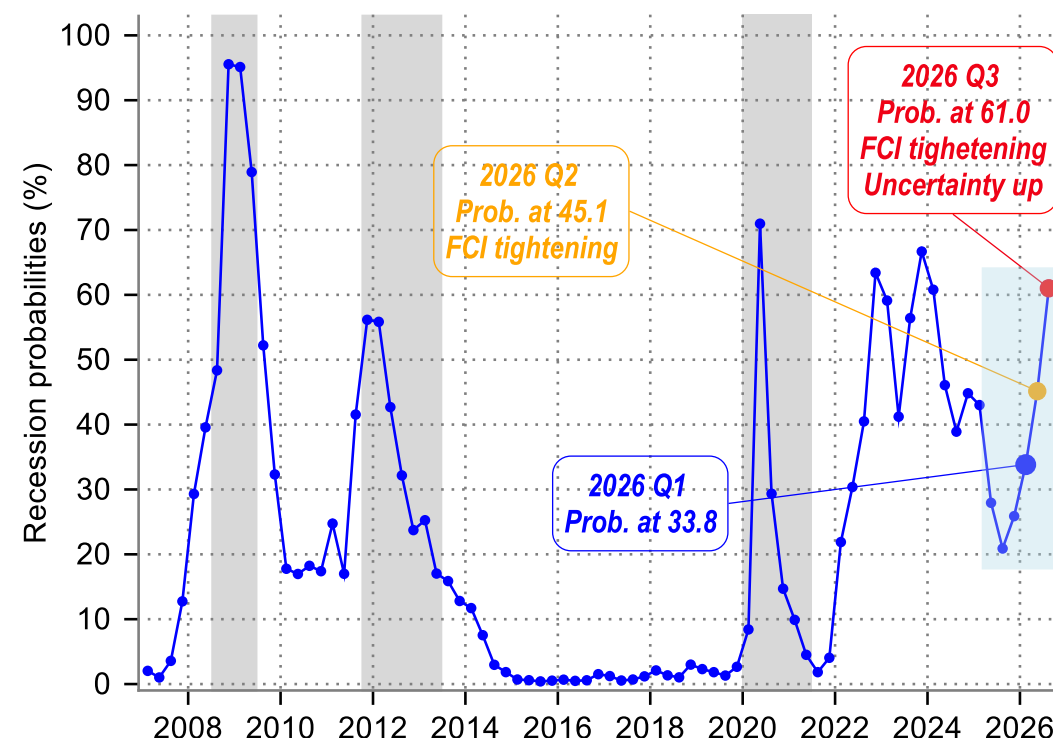
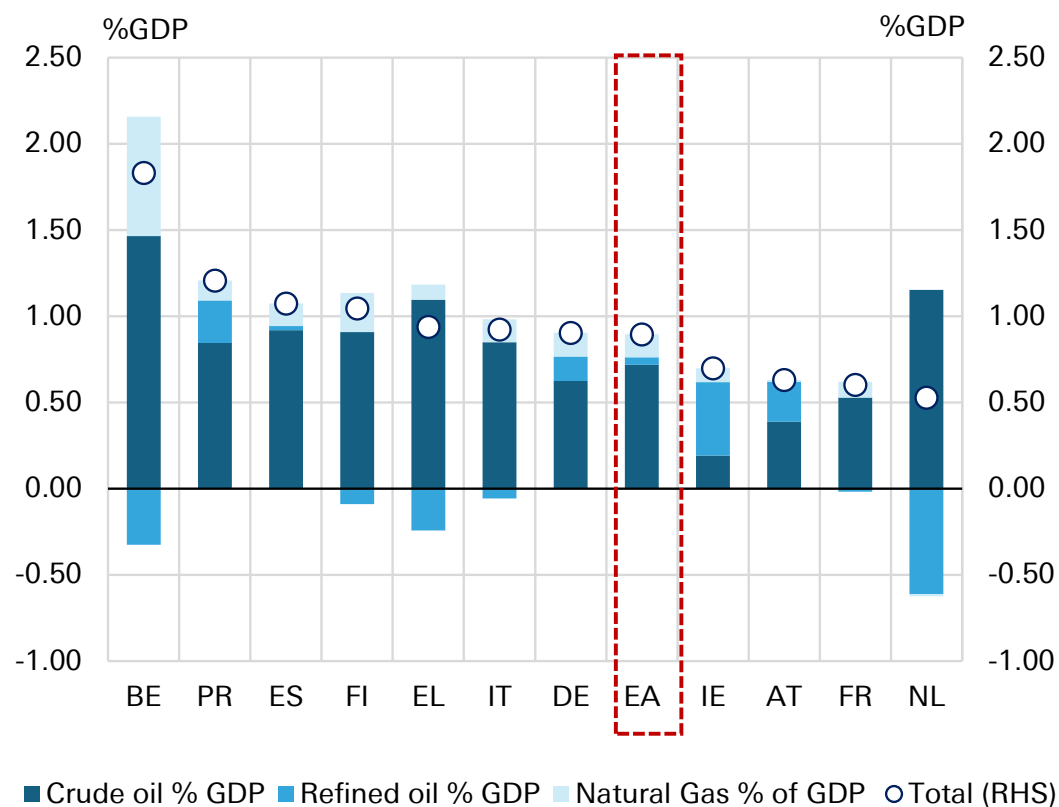


Source: Deutsche Bank, European Commission, Haver Analytics LP

Iran Shock: *Recession risk has increased*



On current oil and gas prices, the euro area's energy import bill will be about 0.75% of GDP higher in 2026 than 2025 (LHS chart). Given that GDP growth was expected to be marginally above 1% in 2026 (pre-conflict forecast), all else unchanged this energy price raises a clear threat of recession. Our model points to a recession probability of 45% in Q2 rising to 60% in Q3.

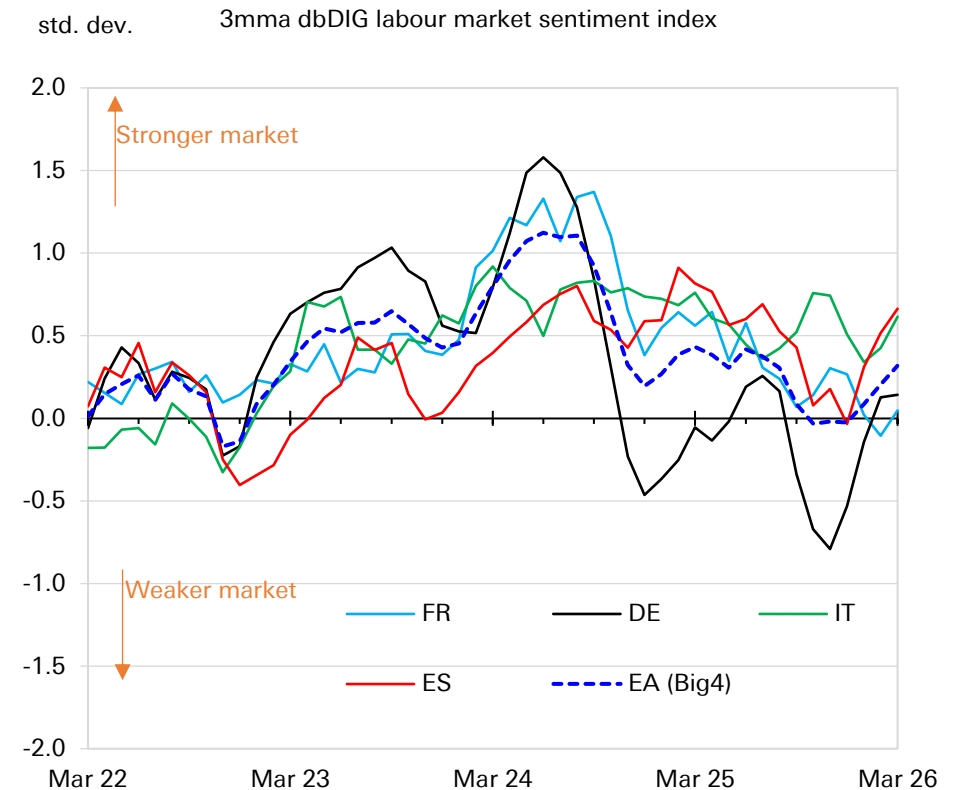
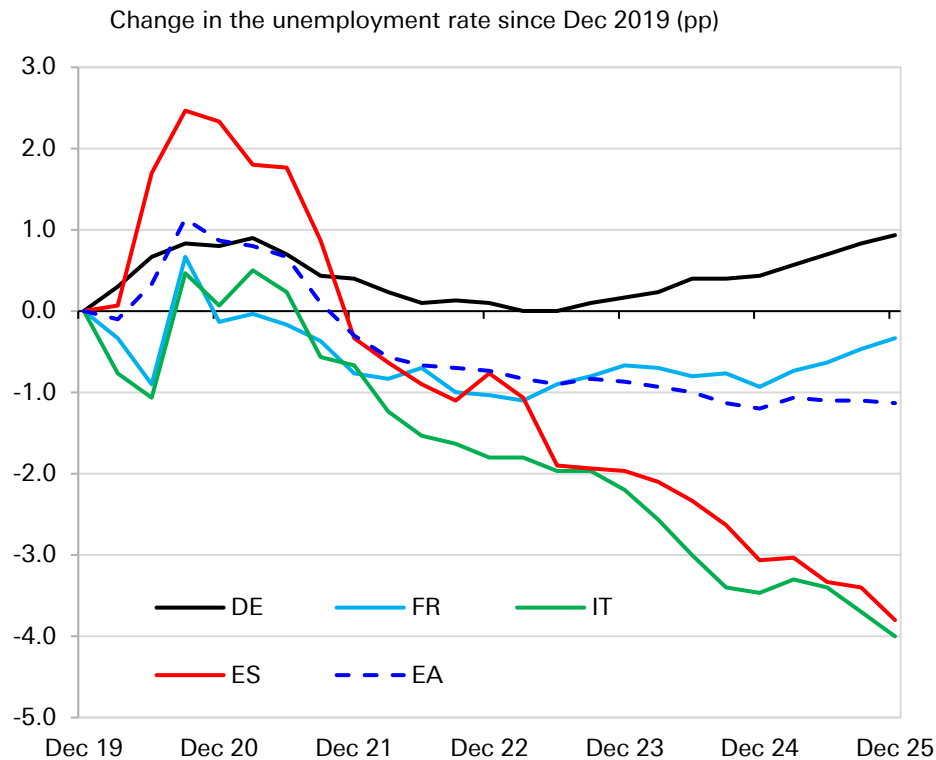


Source: Deutsche Bank, "Crude calculations: Price spikes and the energy import bill", [Europe Chart of the Week](#), 18 March 2026, "What if...Iran Shock and recessionary risk", [Europe Chart of the Week](#), 31 March 2026,

Positives #1: *Labour market*



One of the main reasons for a more resilient than expected performance by the European economy in 2025 was a robust labour market: employment growth and wage gains support disposable income. We continue to see signs of resilience from the labour market, with unemployment falling in the periphery (offsetting rises in the core) (LHS) and our dbDIG household survey showing positive sentiment in the jobs market (RHS).

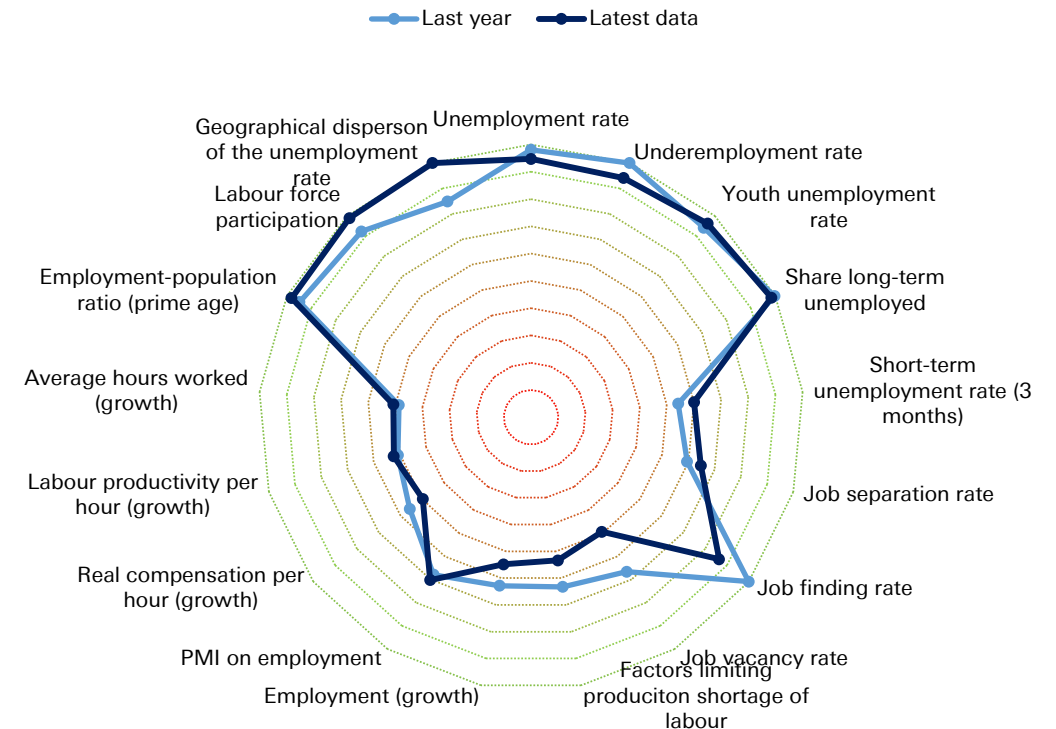
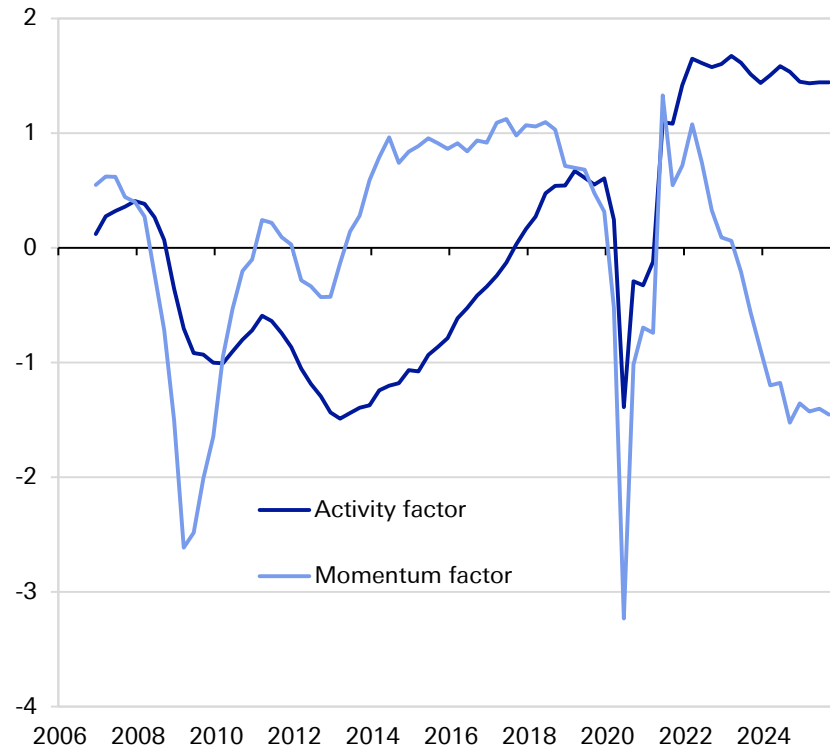


Source: Deutsche Bank, "Labour Market Chartbook: Resilience and Fragility", [Focus Europe](#), 25 March 2026, and "March dbDataInsights survey – Iran war clearly boosting household inflation expectations", [The Wide Angle](#), 8 April 2026

Positives #1: *Labour market*



The RHS chart shows various indicators of labour market conditions. By and large, indicators are towards the outside of the web, implying strength relative to history. In the LHS chart we extract the principal components from this set of labour market indicators. The activity (level) factor remains strong. Momentum has weakened – not enough to drag on the level factor – but has stabilised. The post-pandemic excess in labour market has been removed, but the underlying picture remains solid.



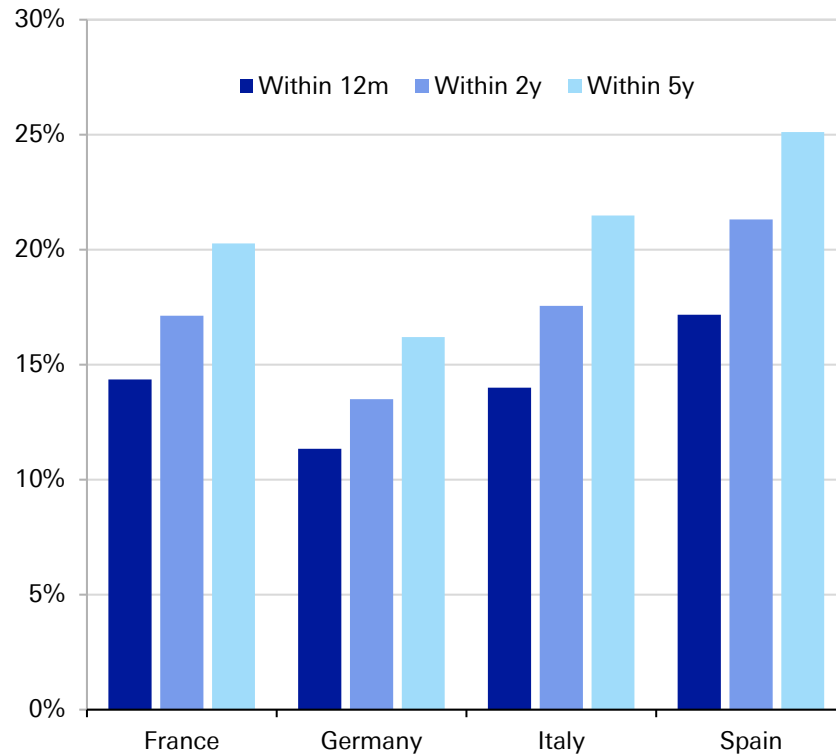
Source: Deutsche Bank, "Labour Market Chartbook: Resilience and Fragility", [Focus Europe](#), 25 March 2026

AI: Pros and cons

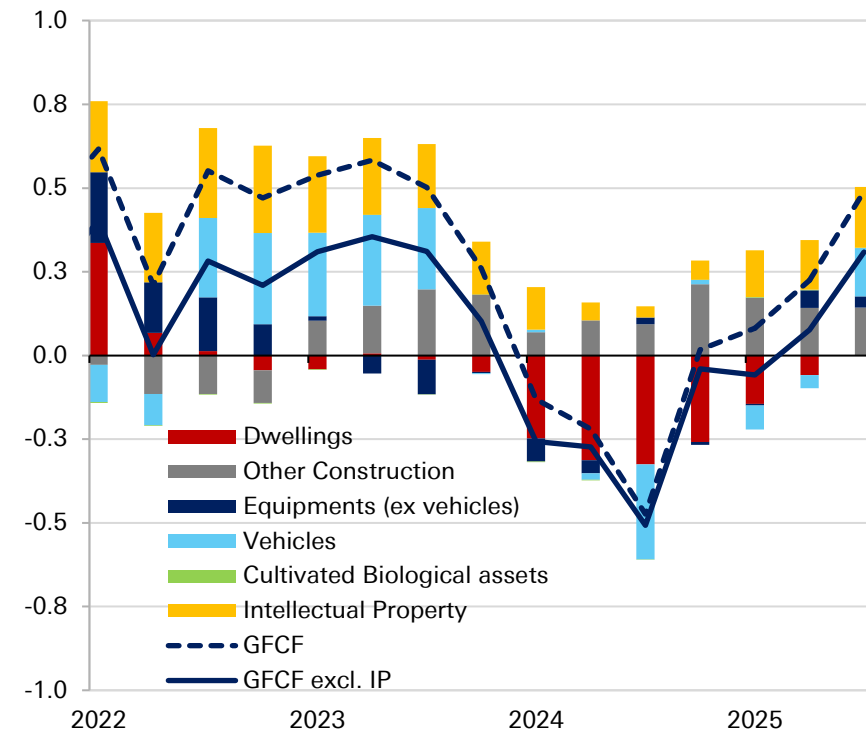


There is a lot of focus on the potential disruption to employment from AI, and our dbDIG household survey points to rising concerns about job losses (LHS). However, the job disruption could be narrow (sector specific), at least at first, and in any case maybe the negative labour supply shock from ageing, tariffs/de-globalization and supply-chain frictions mean the productivity boom won't be like the 1990s/2000s. In the meantime, maybe there are positive demand effects from spending on AI (RHS).

Fear of unemployment and AI: very concerned they will lose their job because of AI



Euro area ex Ireland : Investment contribution to GDP growth, pp, % yoy

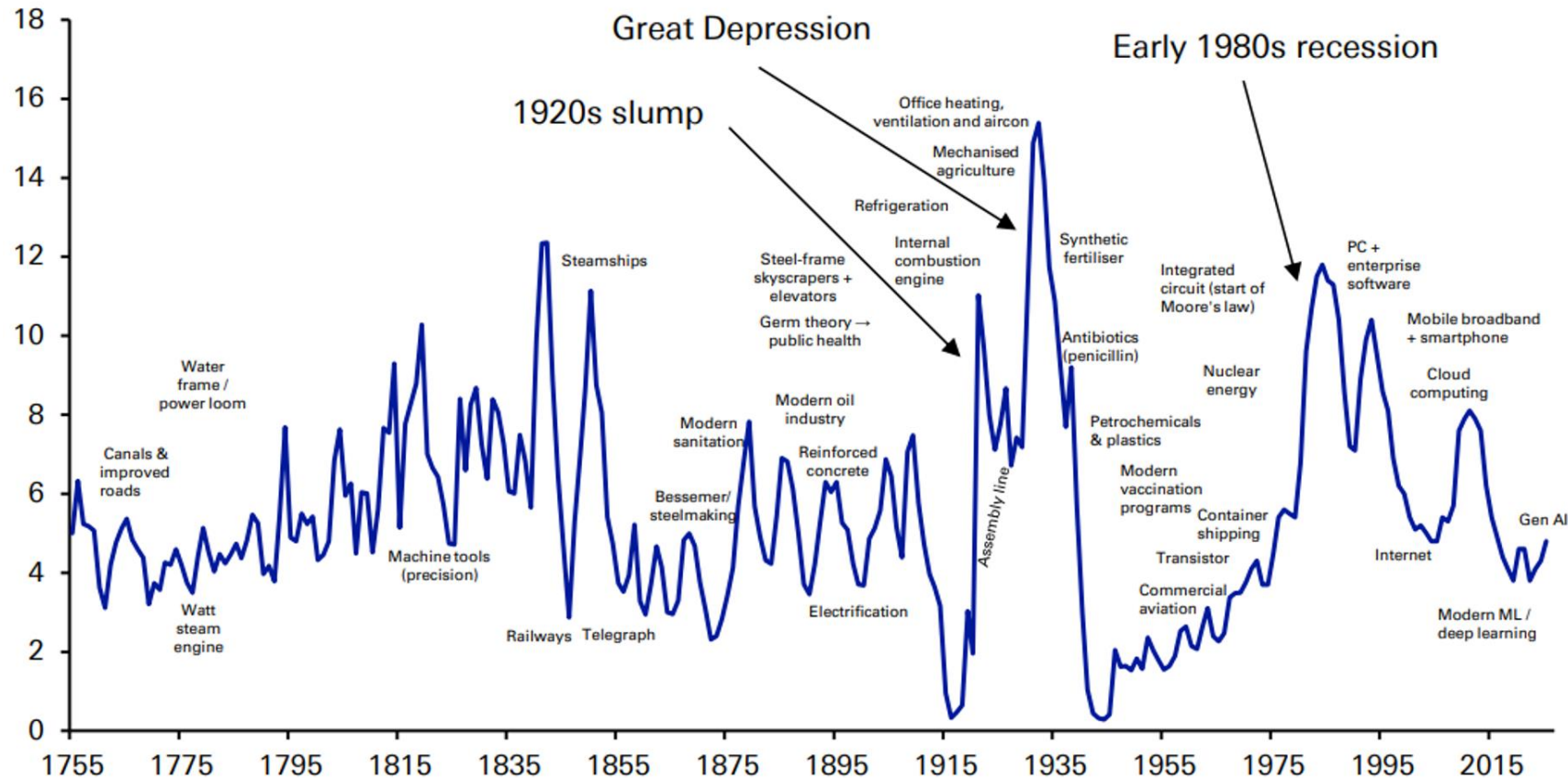


Source: Deutsche Bank. See "Labour Market Chartbook: Resilience and Fragility", [Focus Europe](#), 25 March 2026

AI and the unemployment question: *Augmentation vs. automation?*



This chart shows the UK unemployment rate back to the 1750s. Economic history is a constant series of new technologies. Yet big rises in unemployment have generally only occurred in serious economic downturns, not when growth is propelled by productivity. Is this time different? What if AI is not a story of augmented productivity but of mass automation?

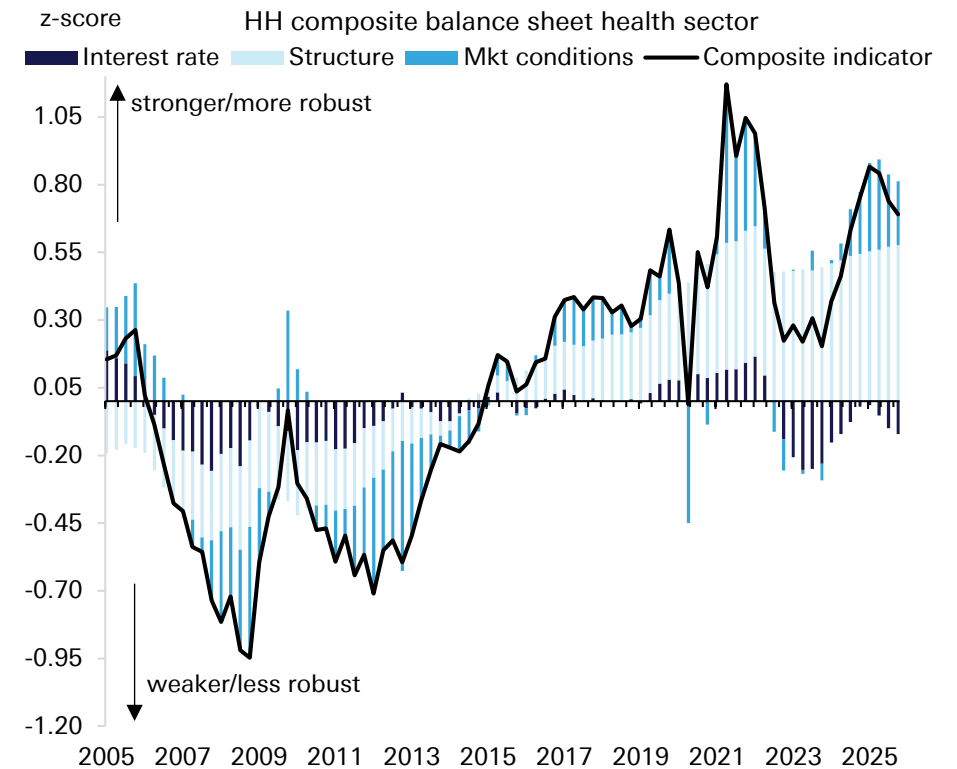
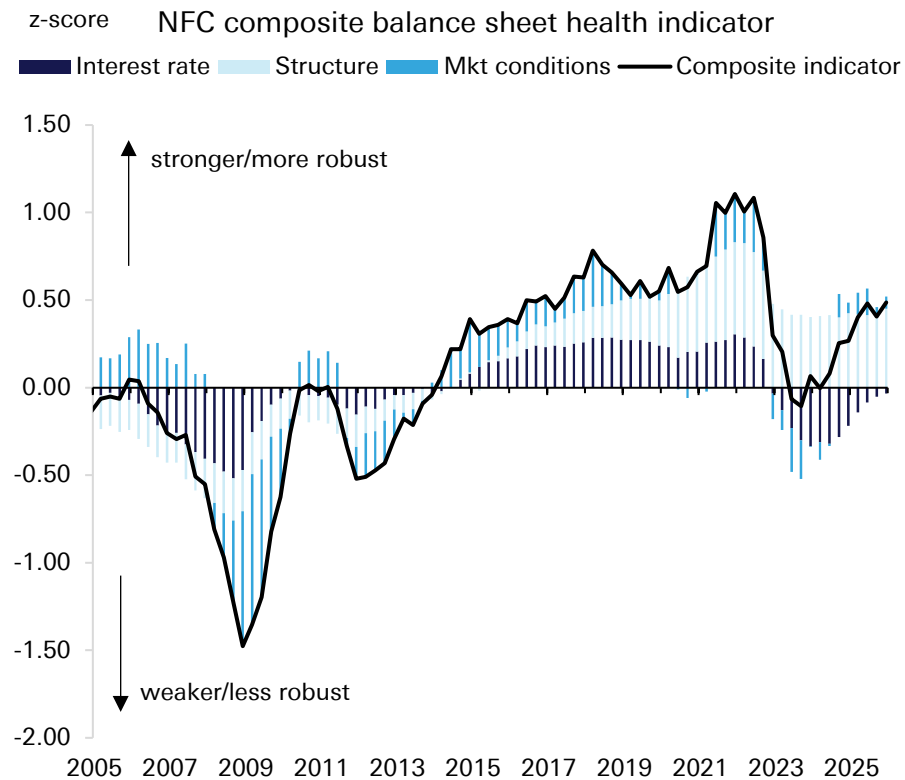


Source: Deutsche Bank, Bank of England: Millennium of Macroeconomic Data, ONS. See "Innovation, Jobs and Inflation: Lessons from 250 Years of Disruption", [Thematic Research](#), 2 March 2026 ,

Positives #2: *Private balance sheets*



We have created composite indicators of the health of private balance sheets. These combine indicators on the cost of borrowing, access to borrowing and the composition of borrowing (fixed rates, duration, etc). We observe positive (healthy) conditions in both the non-financial corporate sector (LHS) and household sector (RHS). This helps the (lagged) transmission of the ECB rate cuts and reduces the potential for exogenous shocks to amplify domestically (e.g. through the deleveraging of stretched balance sheets).

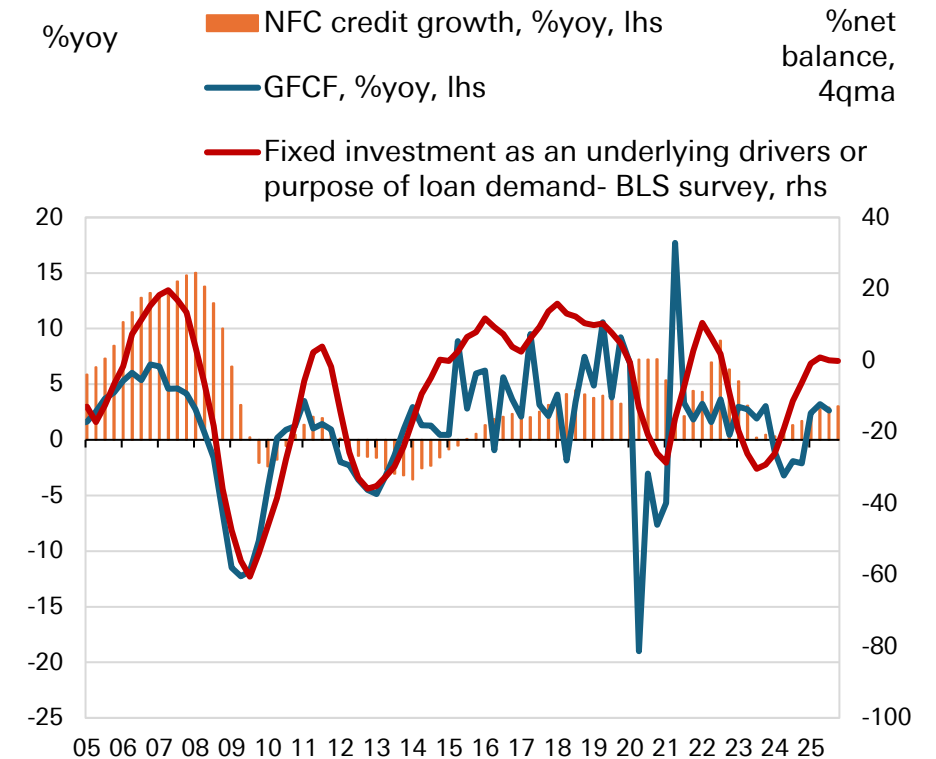
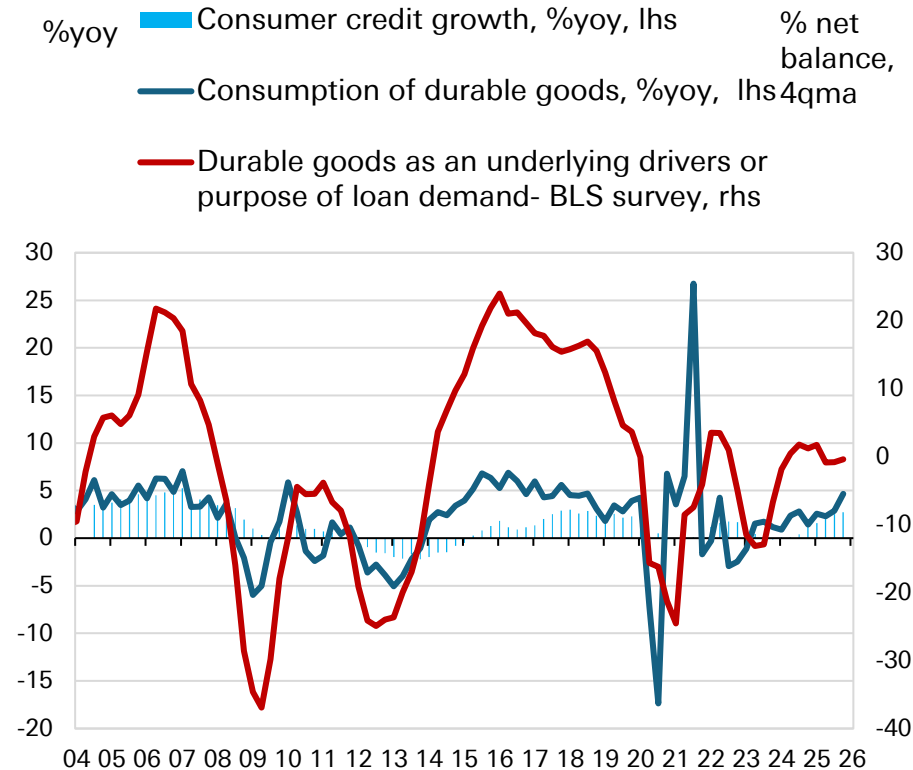


Source: Deutsche Bank, "Touring Transmission: Assessing the policy transmission mechanism", [Focus Europe](#), 30 September 2025

Positives #2: *Interest-sensitive spending*



There are signs in the macro data of the lagged transmission of the ECB's rate cuts into interest-sensitive spending. The charts below show indicators for consumer credit (LHS) and business investment spending (RHS). Although not very strong, the data do show a positive dynamic in 2025.

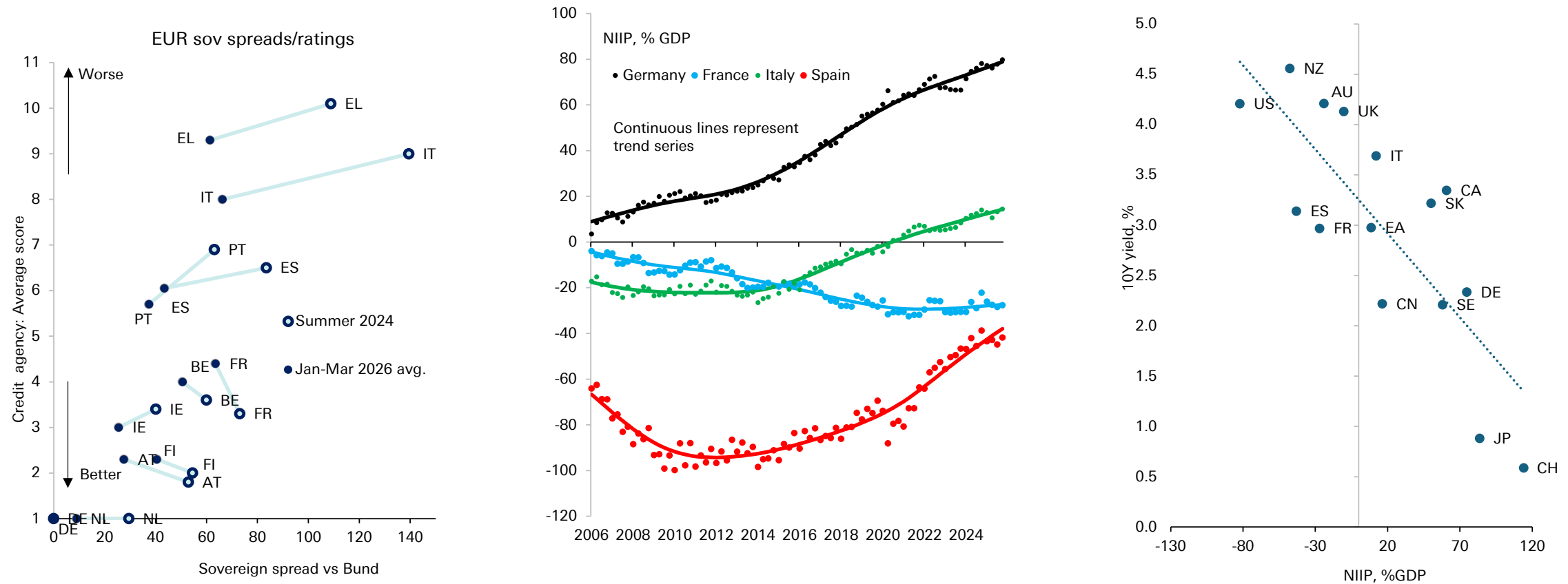


Source: Deutsche Bank, "Touring Transmission: Assessing the policy transmission mechanism", [Focus Europe](#), 30 September 2025

Positives #3: Euro sovereign bond markets



There has been a particular focus on France on account of the political volatility and challenging fiscal consolidation. Beyond that, however, we would point to two positives. First, ex-France, there has been a general spread/ratings compression across the euro area (LHS). This is consistent with more stable and integrated public finances. Second, by and large, external dynamics are positive for debt sustainability (RHS). Germany, Italy and Spain are showing a rising NIIP – France is not (middle chart).

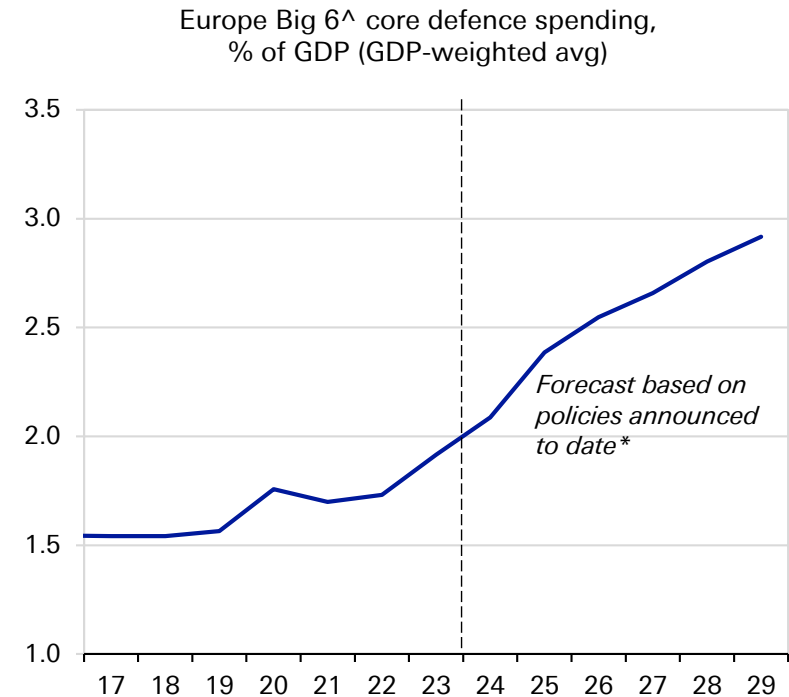
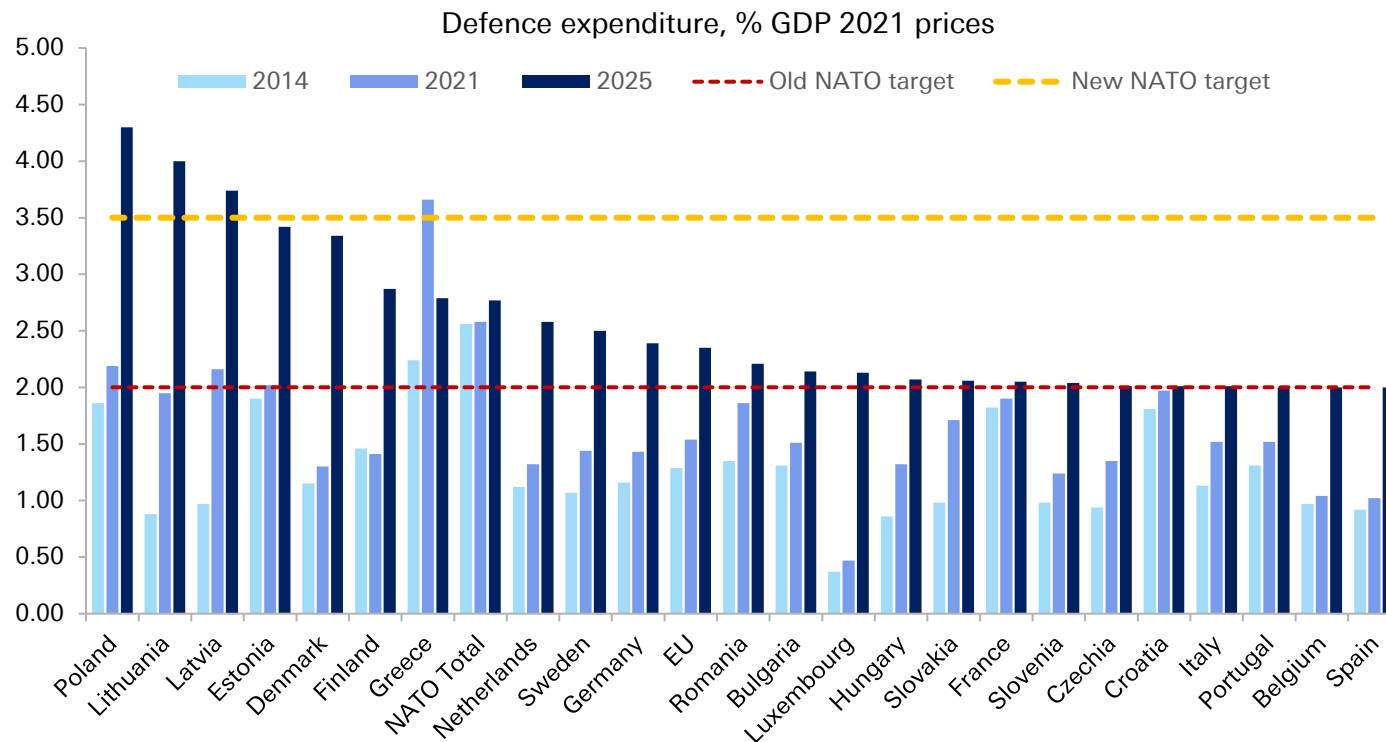


Source: Deutsche Bank, "Europe Fiscal Outlook: Clouds on the horizon", [Focus Europe](#), 26 February 2026

Positives #4: Defence Spending



NATO-Europe on average spent 2.3% of GDP on defence in 2025, a 30-year high. NATO leaders have agreed to increase core defence spending to 3.5% of GDP by 2035. Some EU countries on the eastern flank are already spending at this rate (or higher), and Germany is expected to get there by 2029. The world is changing and with or without peace in Ukraine, Europe needs to become more self-sufficient in defence. This may need additional funding support (e.g., common defence bonds).

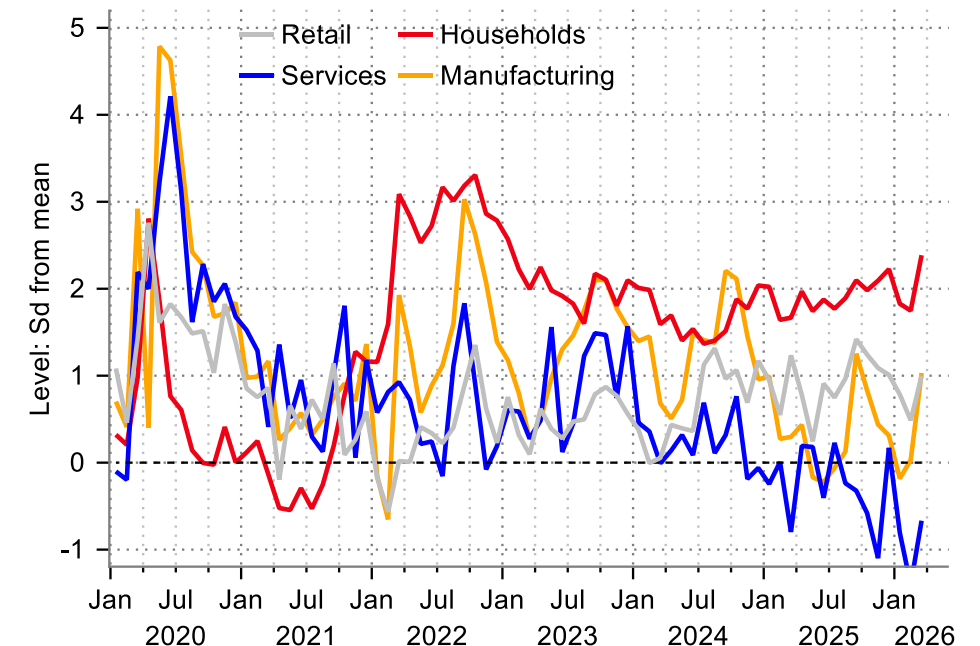
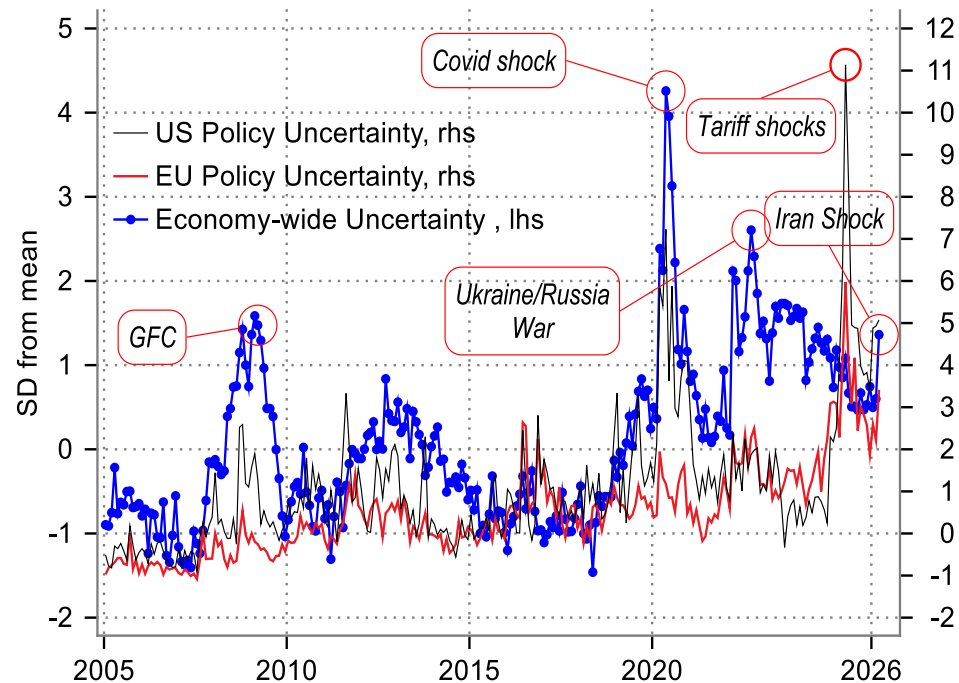


Source: Deutsche Bank, NATO. See "Defending Europe (Part 1): The price tag", [Focus Europe](#), 21 January 2025 and "Defending Europe: NATO summit delivers on narrow aims with the difficult work ahead", [Focus Europe](#), 26 June 2025

Uncertainty: *Geopolitics vs Economics*



The LHS chart shows measures of (geo)political uncertainty for the US and EU against our proprietary EU economic uncertainty indicator. Political and economic uncertainty generally coincide. But economic uncertainty actually declined in 2025. Will this decoupling continue in 2026? Early evidence implies no (LHS). The RHS chart shows our measure of economic uncertainty across sectors.

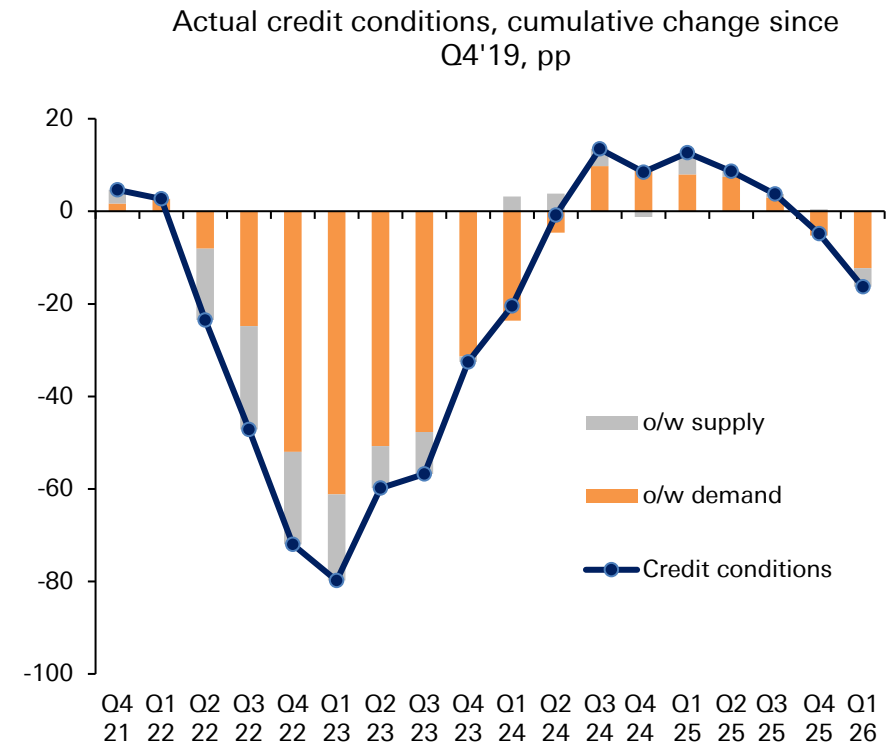
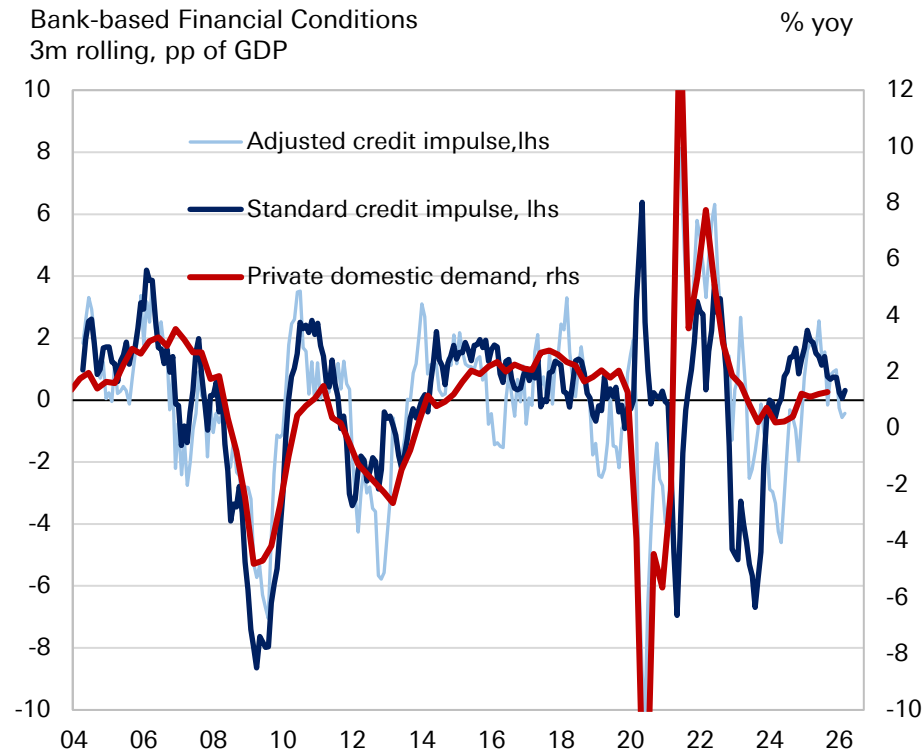


Source: Deutsche Bank, policyuncertainty.com. See "Iran Shock: Key transmission channels", *Focus Europe*, 2 March 2026

Concerns #1: *Transmission fading*



Ordinarily we think of it taking 6-18 months for the effects of a change in monetary policy to fully feed through to the economy. We are now 10 months since the last ECB rate cut. The economy should be in the transmission sweet-spot. Yet the signals from our bank-based transmission indicators are softening, not strengthening: credit impulse (LHS), BLS credit conditions (RHS).



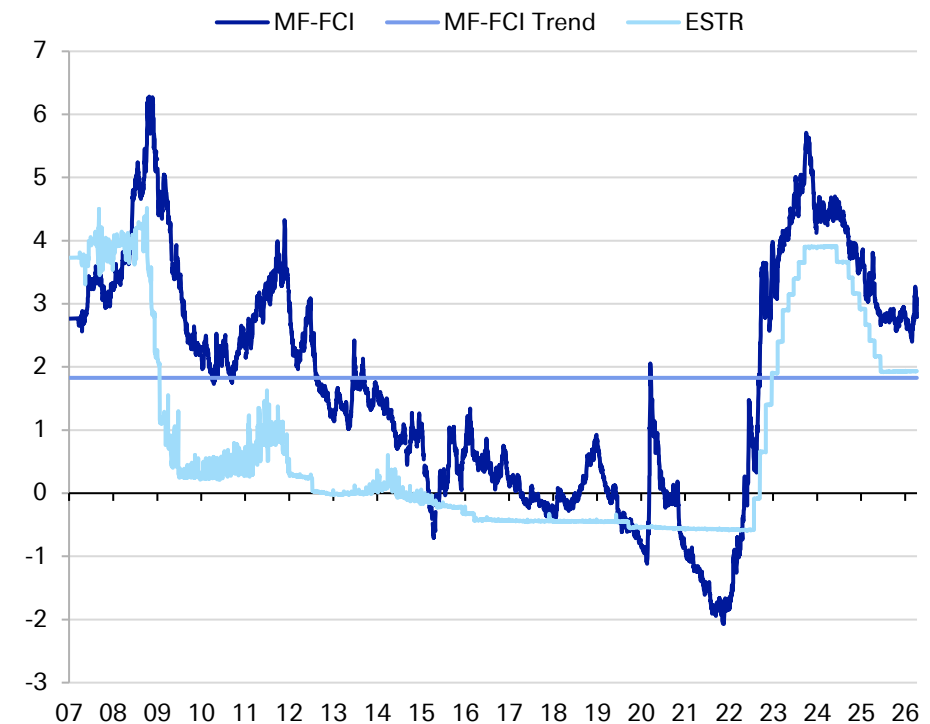
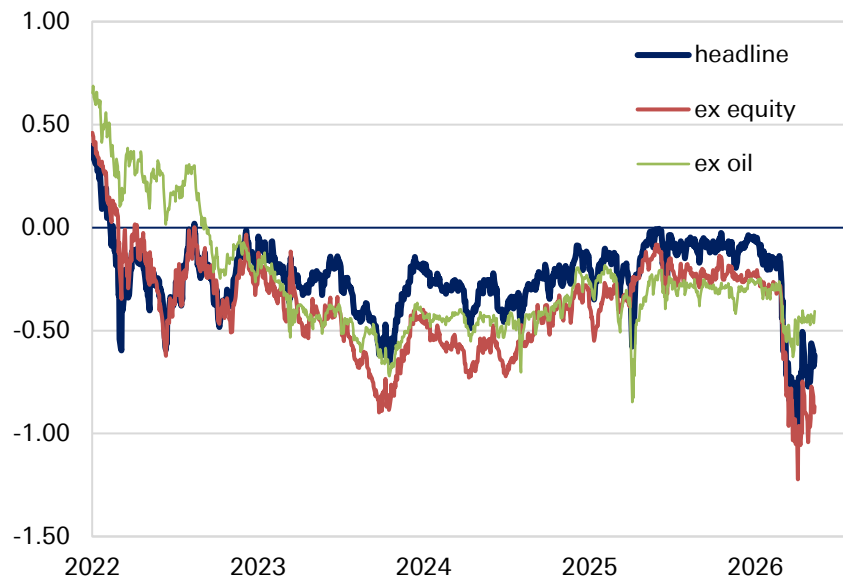
Source: Deutsche Bank, "Touring Transmission: Assessing the policy transmission mechanism", [Focus Europe](#), 30 September 2025 and "The latest update on bank lending and financial conditions", [Europe Blog](#), 26 March 2026

Financial Conditions: *Market-based indices*



The DB FCI (LHS) is a classic financial conditions index, weighted on the basis of correlations with GDP growth. There has been a clear tightening – led by oil prices – consistent with knocking about 0.5pp off GDP growth. The ECB has created a new ‘macro-finance’ FCI (DB replication RHS). This state-of-the-art FCI jointly estimates the weights by capturing mutual feedback between macro and financial variables. The tightening of financial conditions looks modest – and mostly reflects the pricing of rate hikes.

Financial Conditions Index (FCI)
of standard deviations from mean
(rising means looser, falling means tighter)

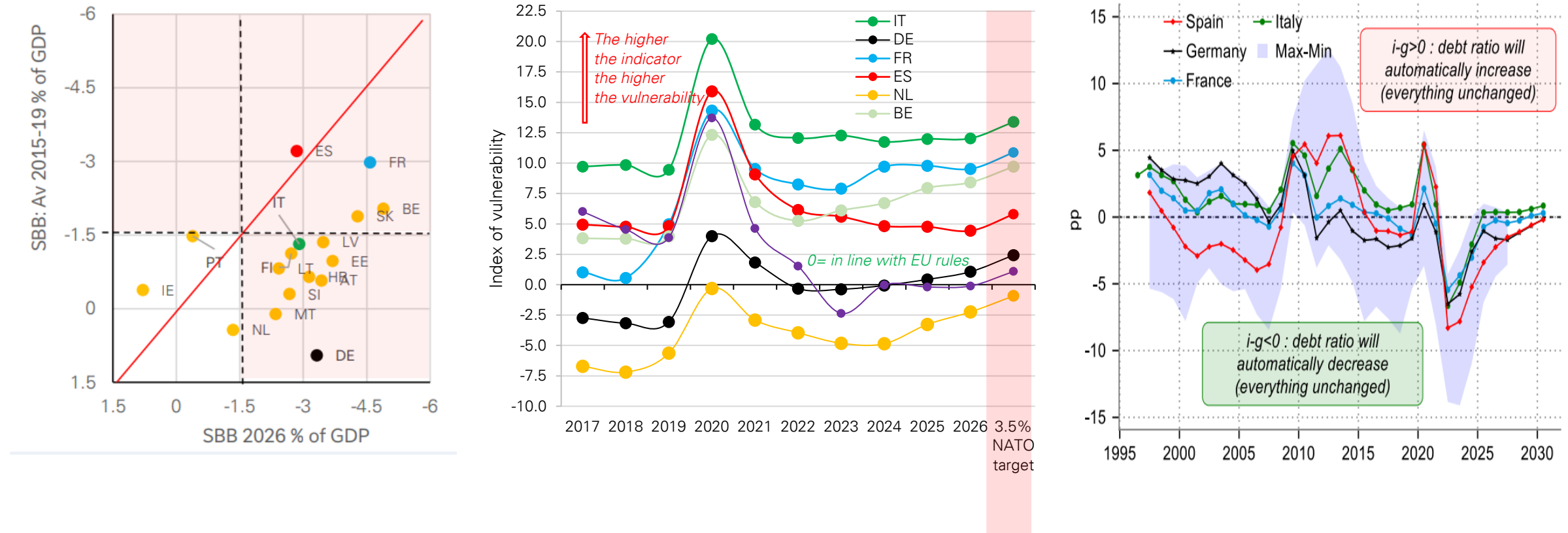


Source: Deutsche Bank, See “The latest update on bank lending and financial conditions”, [Europe Blog](#), 26 March 2026

Concerns #2: *Public debt dynamics*



There are challenges ahead for euro area public finances. The starting point in general is quite weak: public finances have still not returned to the pre-pandemic level (LHS) and vulnerability indicators remain high (middle). And there are clouds on the horizon: the 'i-g' gap is becoming less favourable (RHS) even as the EU's need for strategic investments rises (defence, energy, etc).

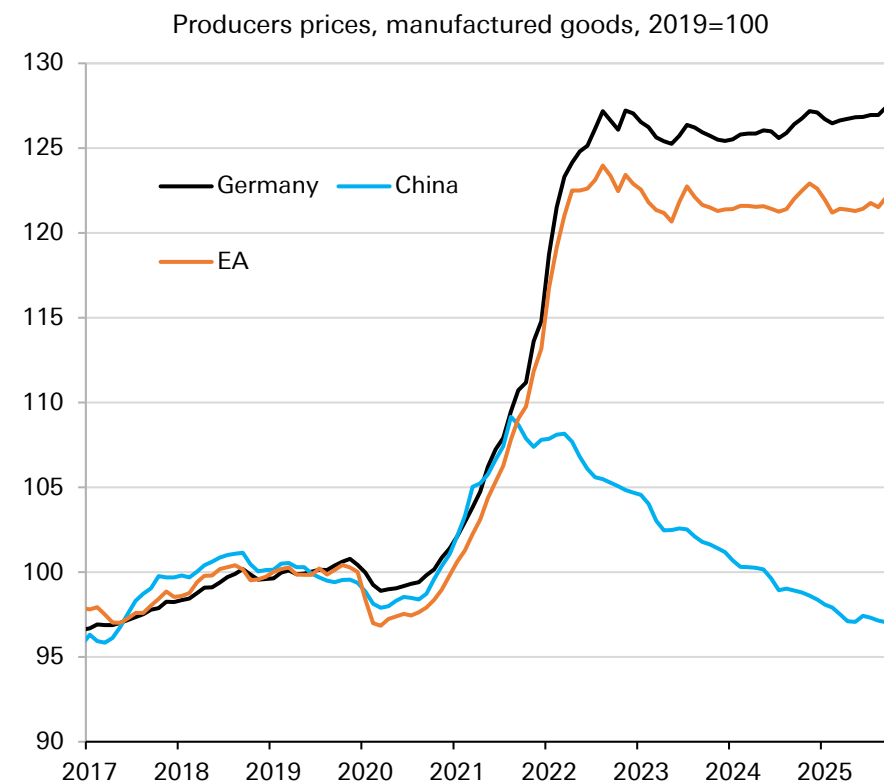
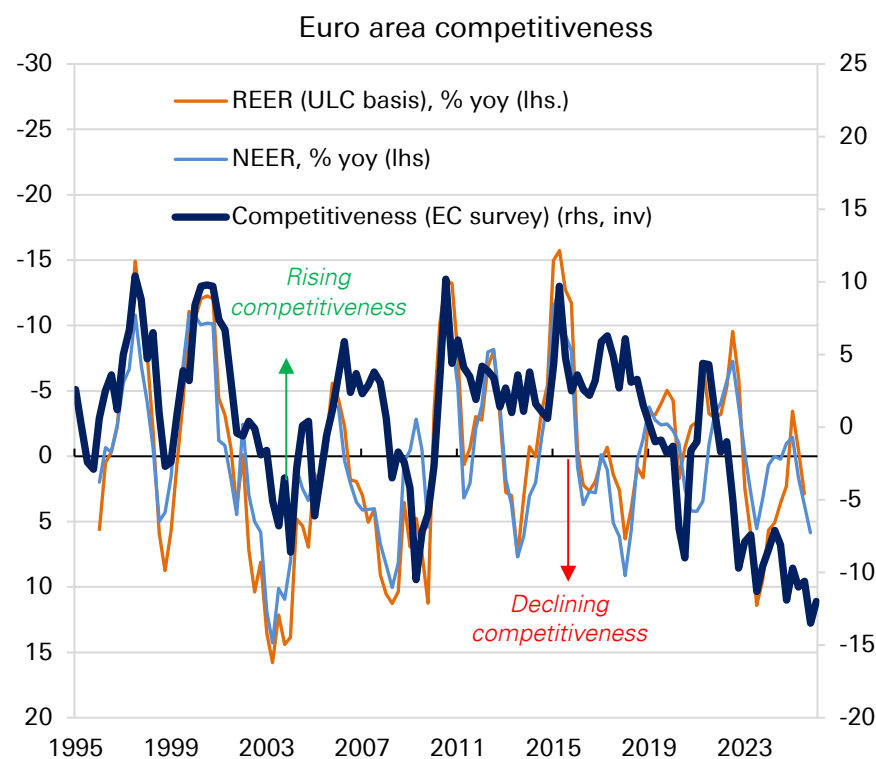


Source: Deutsche Bank, "Europe Public Finances: Clouds on the horizon", [Focus Europe](#), 26 February 2026

Concern #3: “Competitiveness”



The world is changing, becoming more frictional, more geopolitical. This does not suit the EU, which was built on trade, integration and multilateralism. The EU built large external dependencies – on US for defence, Russia for energy, exports for growth – and these have become vulnerabilities. Tariffs, euro FX appreciation, US dominance of digital and China’s dominance of critical minerals compound the competitiveness challenge for Europe.



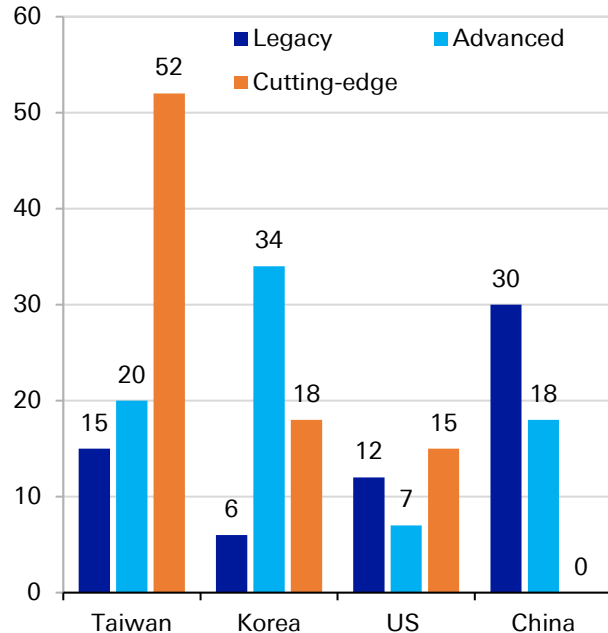
Source: Deutsche Bank, “Anti-involution is no panacea”, [Germany Schnappschuss](#), 21 November 2025 and “The two-economy problem”, [Focus Europe](#), 5 December 2025.

Strategic Autonomy: *Europe's solution to an increasingly frictional world*

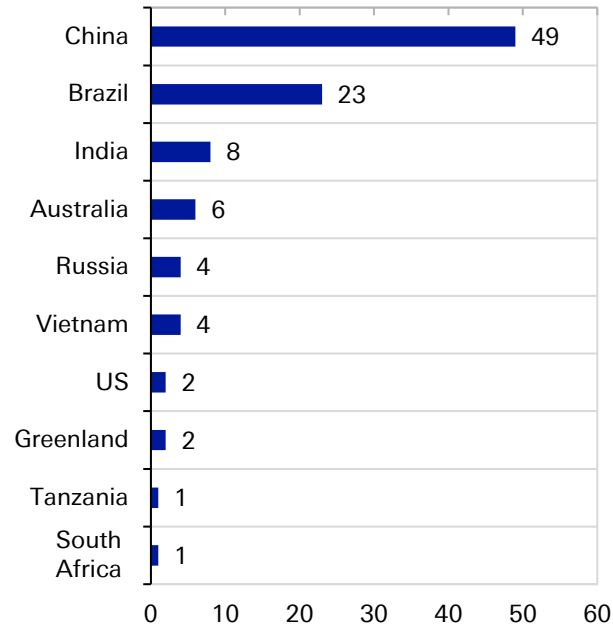


EU external dependencies: US for defence, Russia for energy, exports for growth. These have become vulnerabilities. Europe needs more 'strategic autonomy': the ability to trade and have alliances while having greater independence on security/defence, energy supply, technology, supply chains, etc. Draghi published the blueprint for strategic autonomy in 2024. It is expensive: EUR800bn per annum. Difficult when public debt is high, and politics is fragmented.

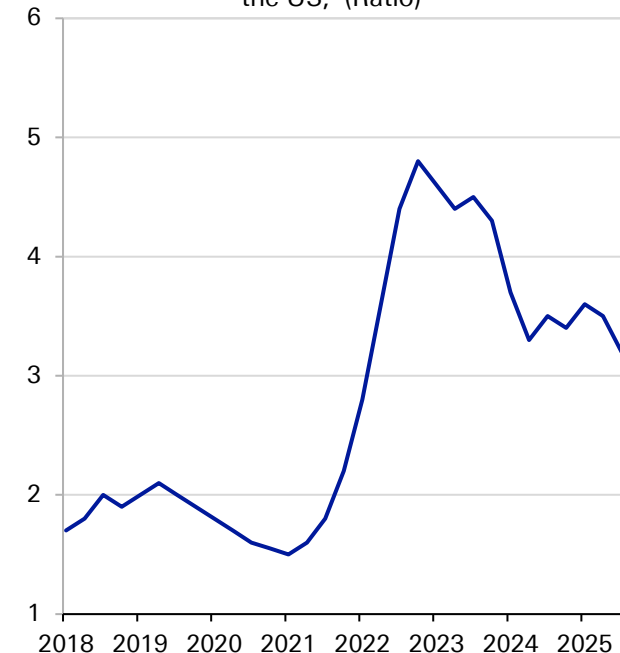
Semiconductors: Capacity broken down by level of sophistication, %



Top 10 countries with the largest rare earth oxides reserves, 2024, %



Energy prices in the Euro area relative to the US, (Ratio)



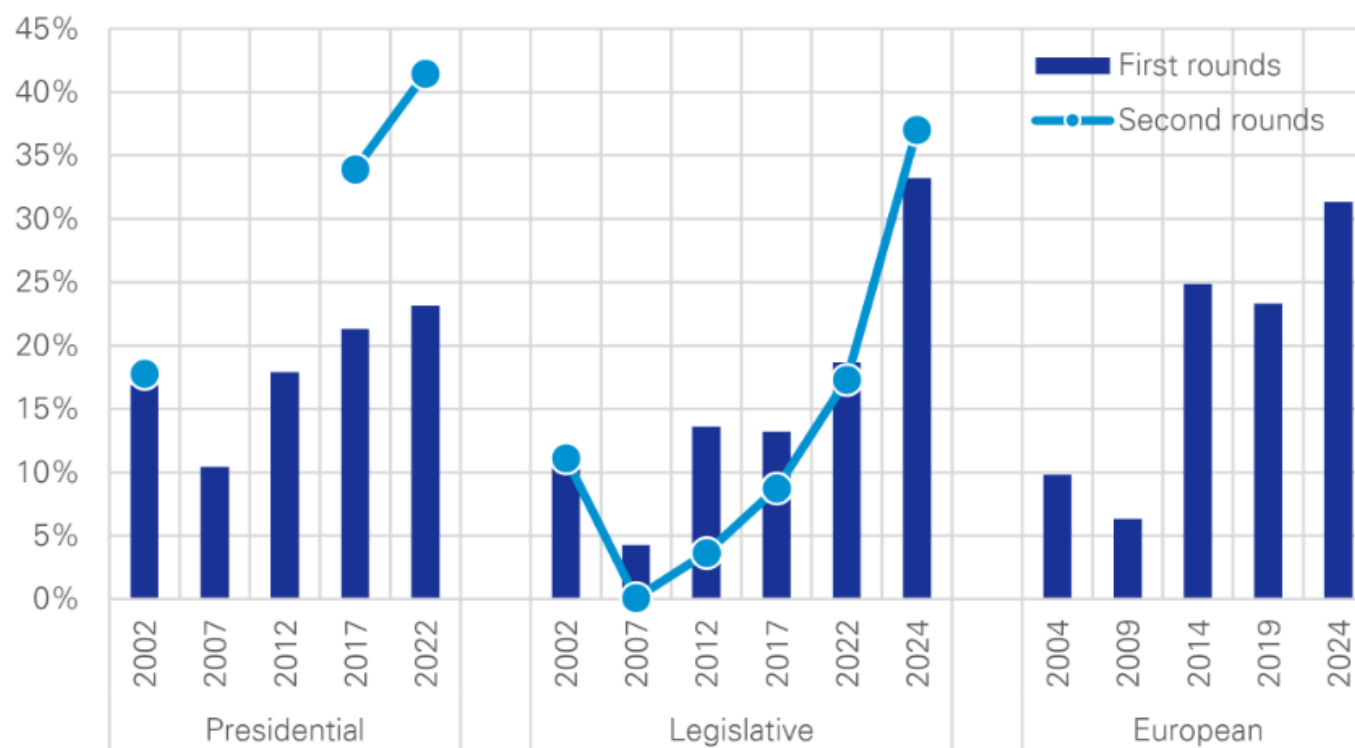
Source: Deutsche Bank. See "Semiconductors: What to expect in 2025 in 8 slides", Thematic Research, 18 February 2025 and See "How to revive growth in Europe", [speech](#) by Isabel Schnabel, 20 October 2025

Politics: *Is the EU cohesive enough to adapt to a changing world?*



Markets will be living in the shadow of the French Presidential election for the next year. The far-right RN has the polling momentum (chart below shows RN election momentum over time). Germany has five State elections in 2026. AfD have momentum too and Chancellor Merz's coalition is finding governing to be heavy going. Political fragmentation makes policy making across the EU more difficult.

RN score at major national elections - 2002 to 2024

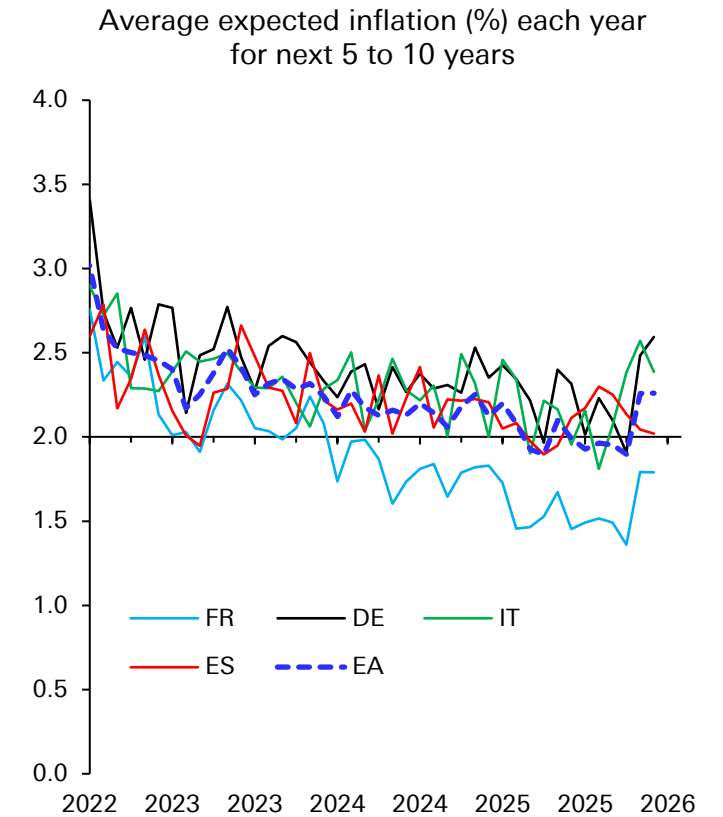
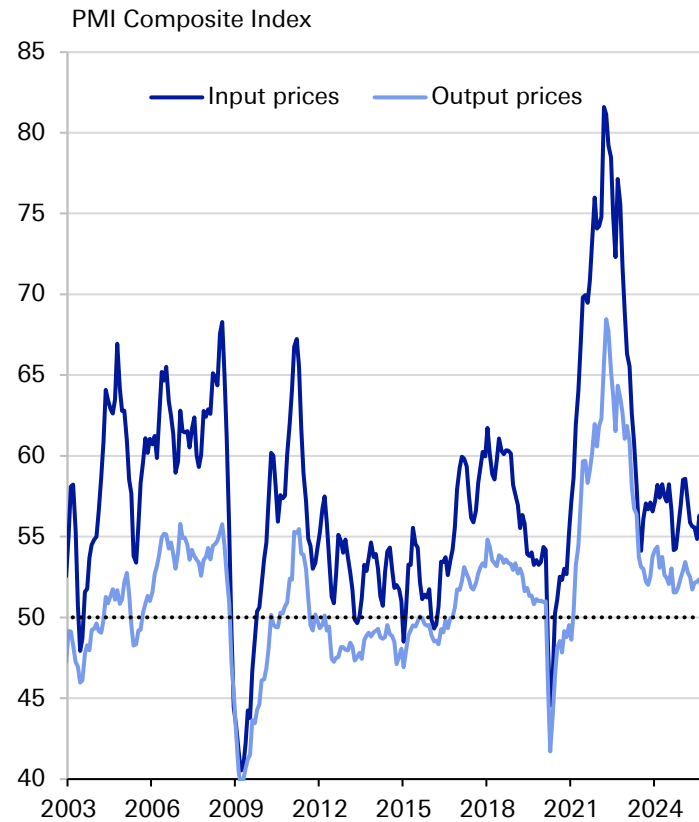
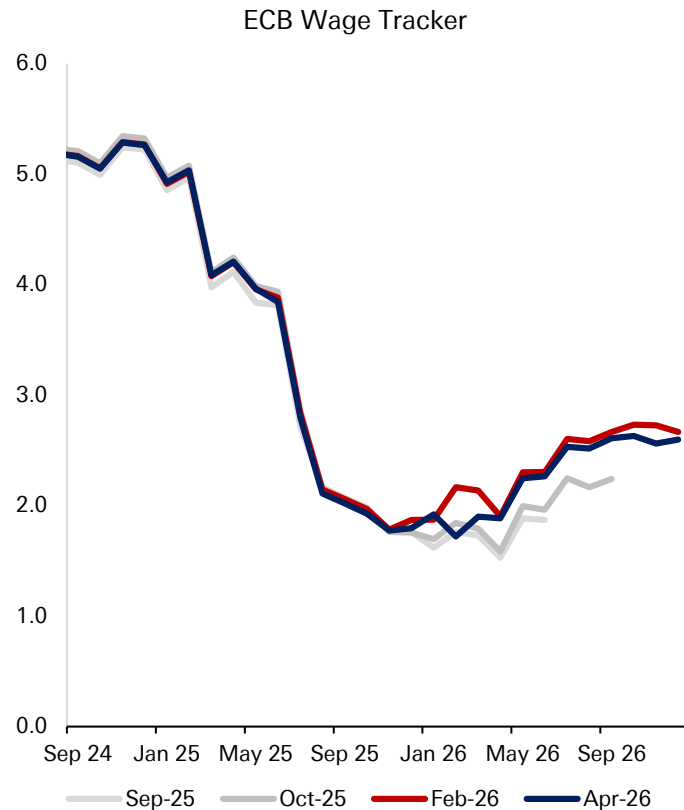


Source: Deutsche Bank, INSA, Forsa, YouGov, Ifop. See “Meanwhile, the shifting political landscape at home”, [Europe Chart Of The Week](#), 13 March 2026

Concerns #4: *Inflation-prone*



Pre-conflict, our view was that the combination of fiscal easing (defence, strategic autonomy) and a tightening labour market (LHS) would likely support a rotation from inflation undershooting in 2026 to risks of overshooting from 2027/2028. The energy shock could accelerate these risks. Passthrough is already above normal (middle) and household inflation expectations are rising (RHS).

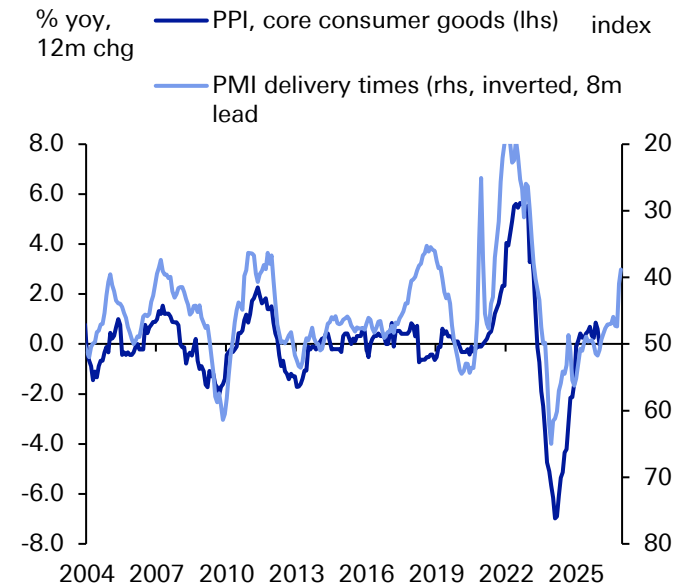
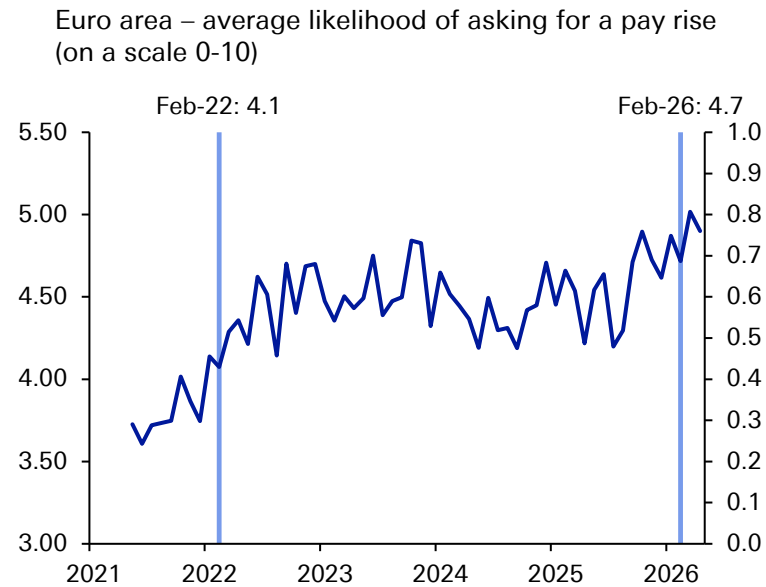
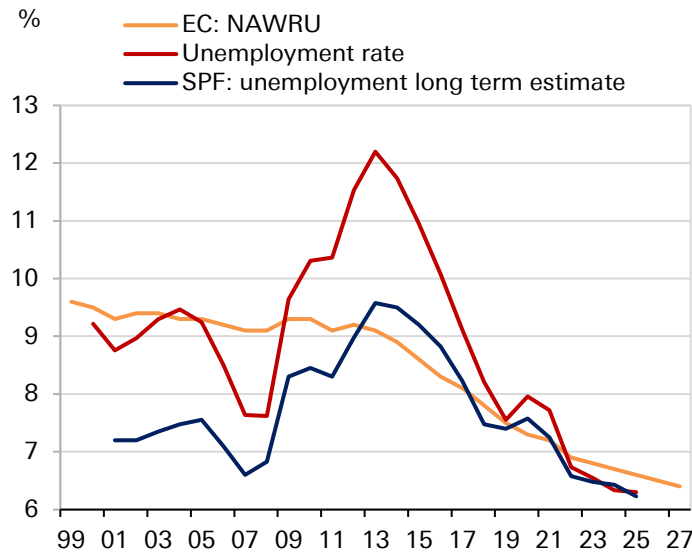


Source: Deutsche Bank, See "April dbDataInsights survey – Household inflation expectations update, [The Wide Angle](#), 6 May 2026

Concerns #4: *Inflation-prone*



The passthrough of rising energy costs into inflation is state-contingent. One key determinant is the degree of slack in the labour market. The unemployment rate is below the equilibrium rate (NAWRU) (LHS) and in our dbDIG survey we see a rising likelihood of households asking for a pay rise (middle). Another determinant is supply chains, which are tightening (RHS).

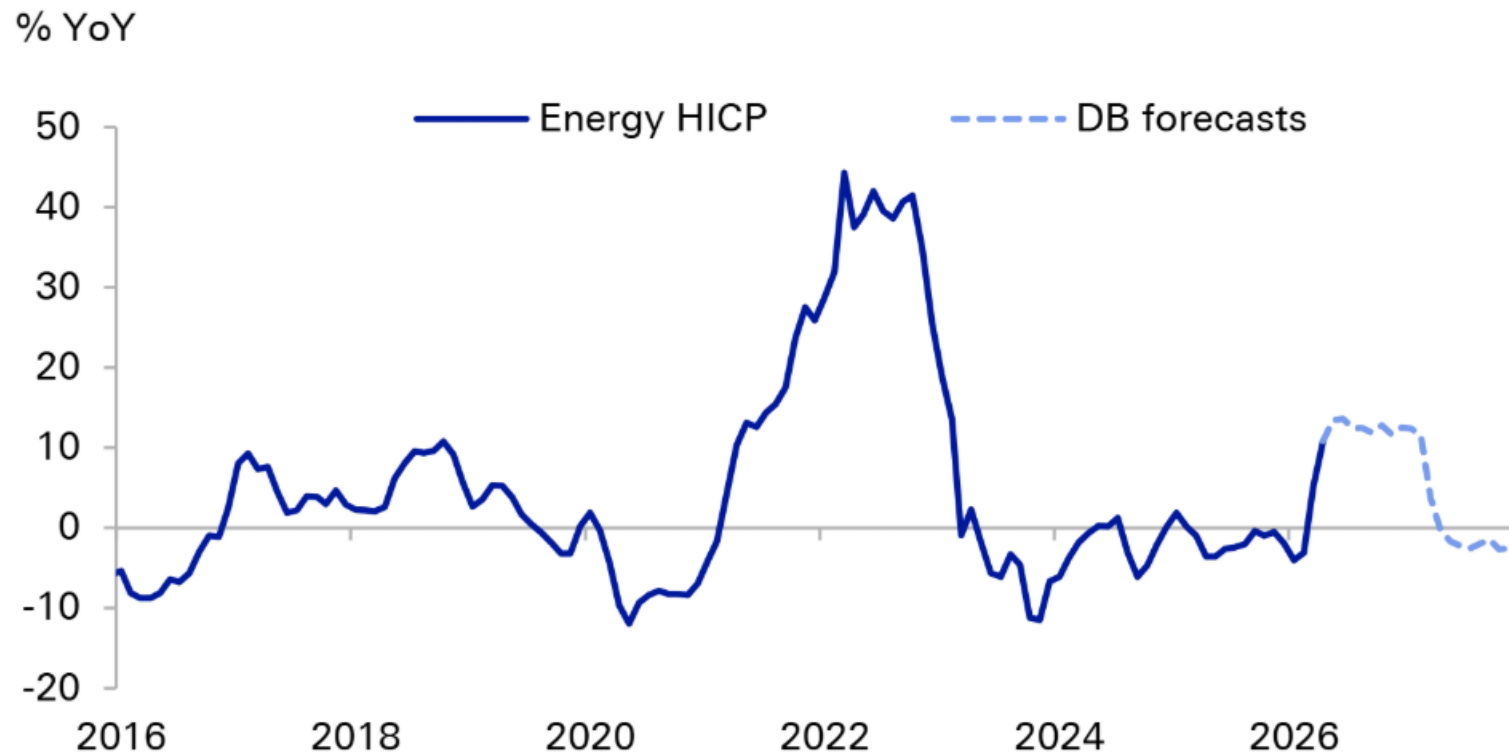


Source: Deutsche Bank, "How much passthrough? The state-contingency of price surveys", [UK Economic Notes](#), 15 April 2026 and "April dbDataInsights survey – Household inflation expectations update, [The Wide Angle](#), 6 May 2026

Passthrough Playbook: *Energy transmission, Stage 1 – Direct Effects*



There are three stages in the transmission of an energy shock into inflation. Stage 1 is 'direct effects'. That is, the increase in energy inflation itself. The increase in energy HICP is already clear since the start of the Middle East conflict. The rise is in line with historic norms. This chart shows what energy HICP inflation should be assuming prices follow the energy curves (oil and gas). This energy shock is still only a fraction of the 2022 shock.

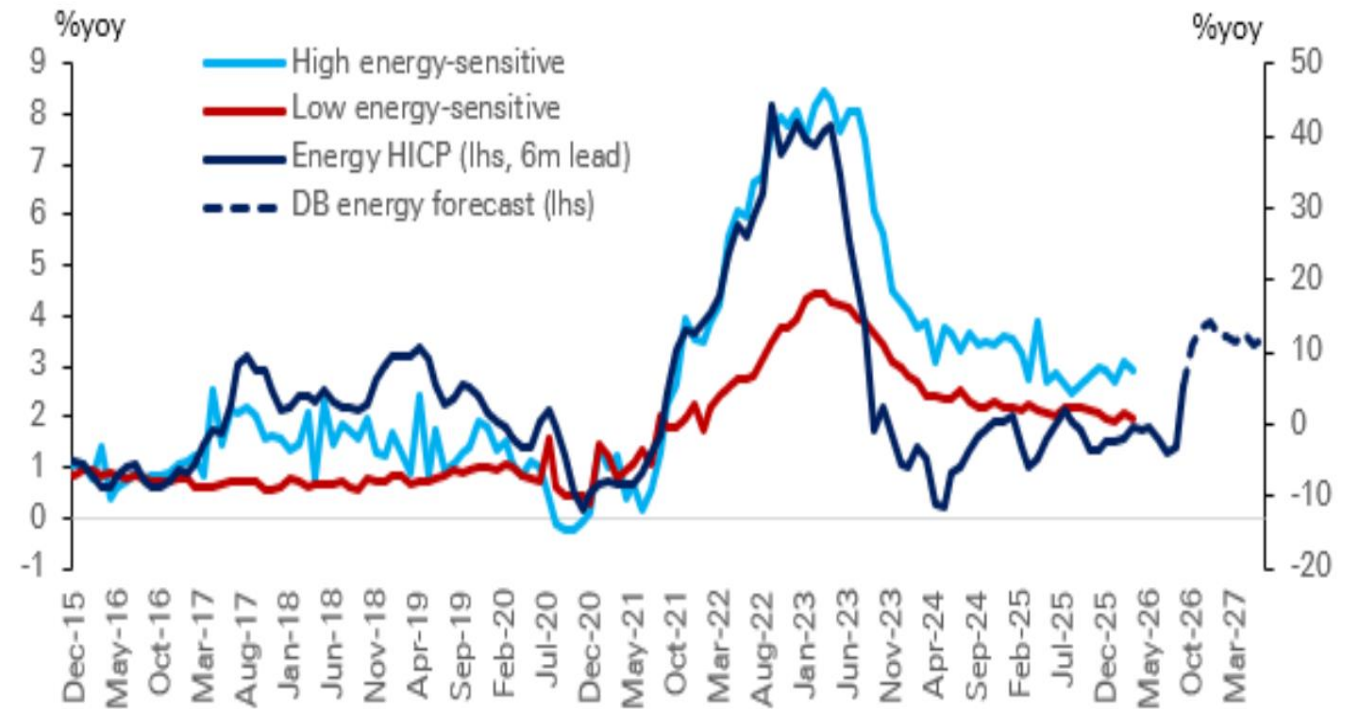
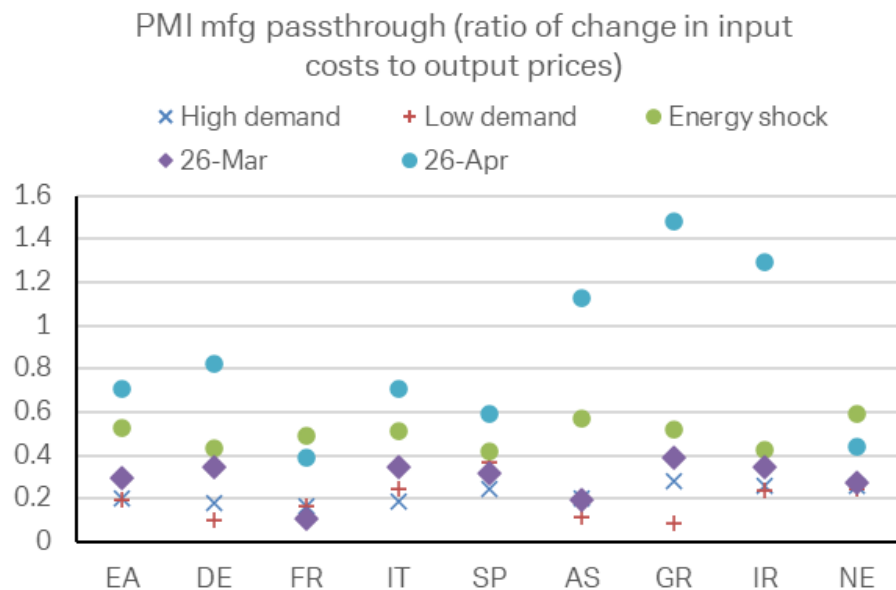


Source: Deutsche Bank, "Passthrough Playbook: Tracking the stages of energy transmission", [Europe Blog](#), 1 May 2026

Passthrough Playbook: *Energy transmission, Stage 2 – Indirect Effects*



Stage 2 in the transmission of an energy shock is 'Indirect Effects'. That is, prices that rise because energy costs have increased. The PMI points to strong pass-through of rising input costs into output prices, beyond 2022 levels already in April (LHS). We will be monitoring the high energy-intensive core HICP index for signs of indirect effects (RHS). This had the same shape as energy HICP in 2022, with a six-month lag.

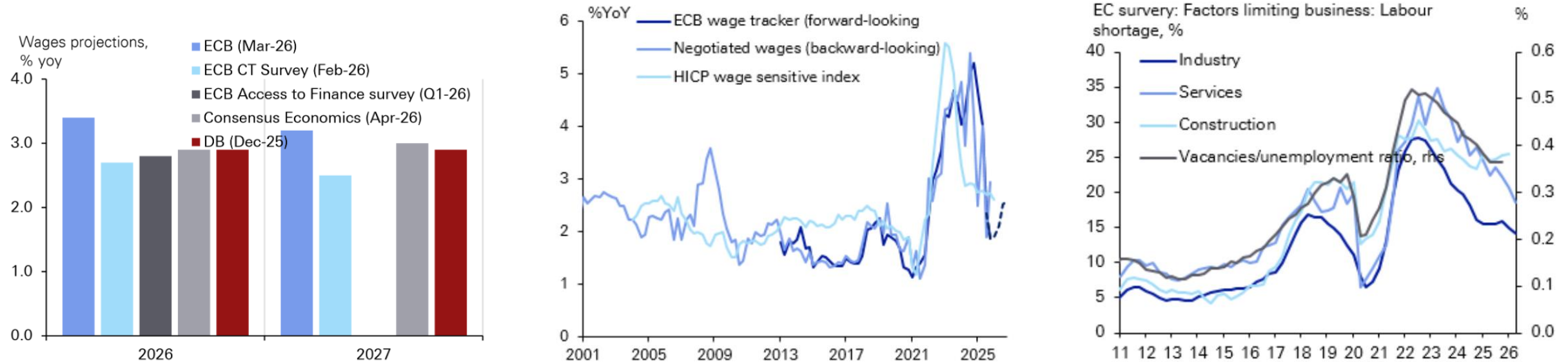


Source: Deutsche Bank, "Passthrough Playbook: Tracking the stages of energy transmission", [Europe Blog](#), 1 May 2026

Passthrough Playbook: *Energy transmission, stage 3 – Second-Round Effects*



Stage 3 of the transmission of an energy shock is ‘Second-Round Effects’. That is, an upward pressure on prices because inflation has increased. There are two classic examples. One is inflation expectations. The other – which takes longer – is wage inflation. Our wage-sensitive HICP index was a leading indicator in 2022 (middle chart). The labour market is not as tight as 2022, but it is not loose either (RHS).

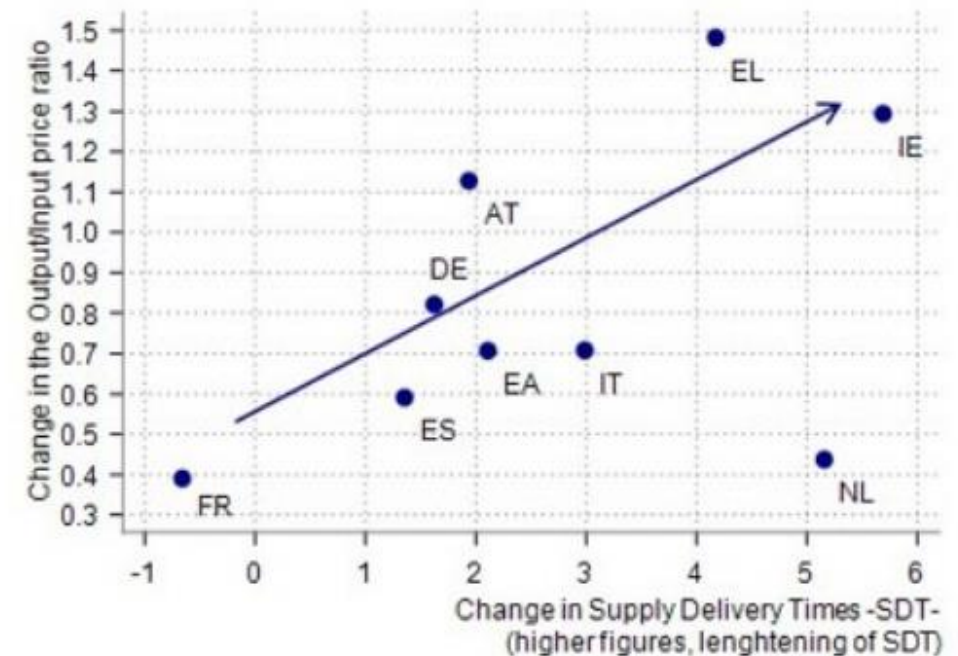
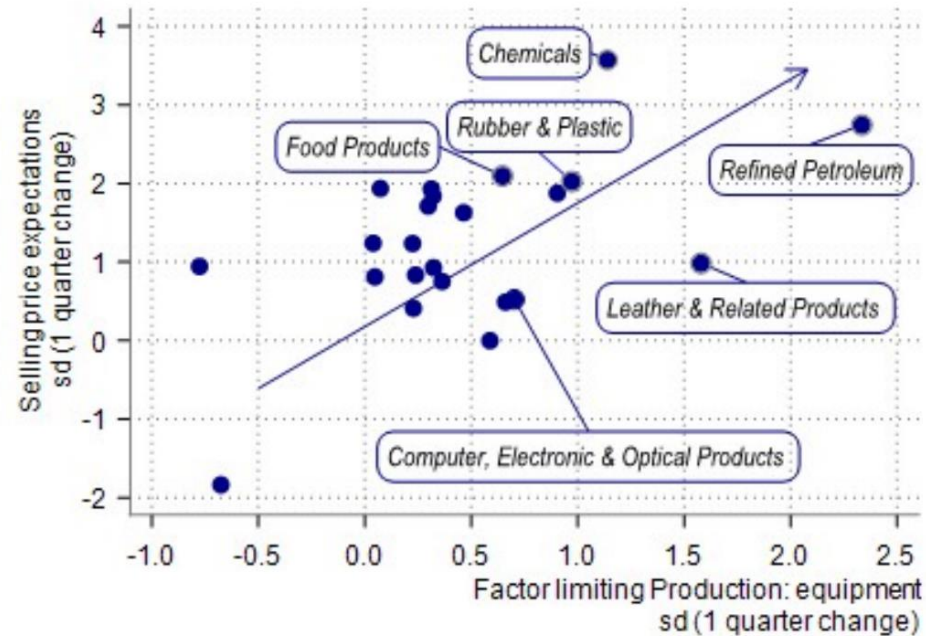


Source: Deutsche Bank, “Passthrough Playbook: Tracking the stages of energy transmission”, [Europe Blog](#), 1 May 2026

Supply constraints: *An inflation shock amplifier*



Adding to the upside risks to inflation is the fact that supply chains are tightening (e.g., the lengthening of delivery times in the PMI). In the European Commission monthly business survey, at a sectoral level we can see a positive correlation between the sectors reporting tight supply chains ('equipment' limiting production includes energy) and sectors reporting an increase in selling price expectations (LHS). In the PMI, across countries the passthrough from input costs to output prices correlates with the change in delivery times (RHS).

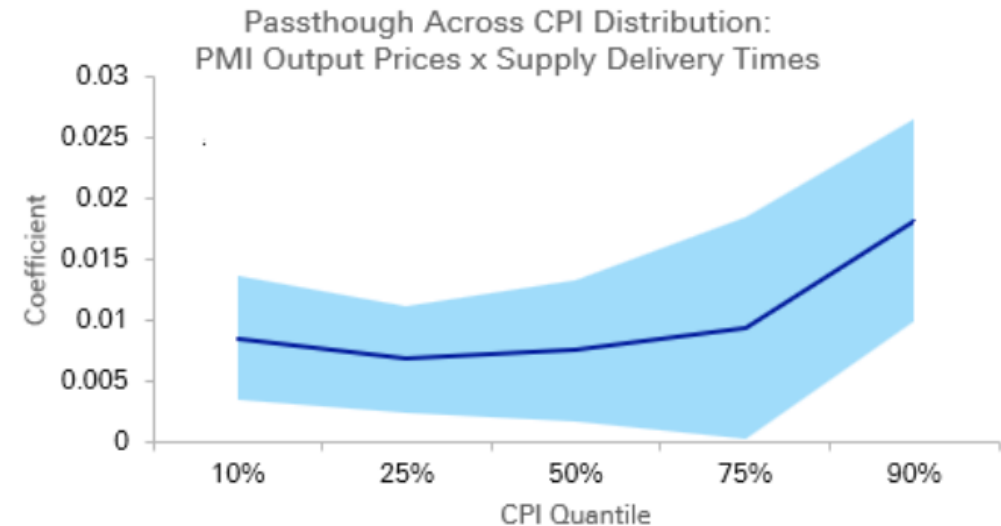
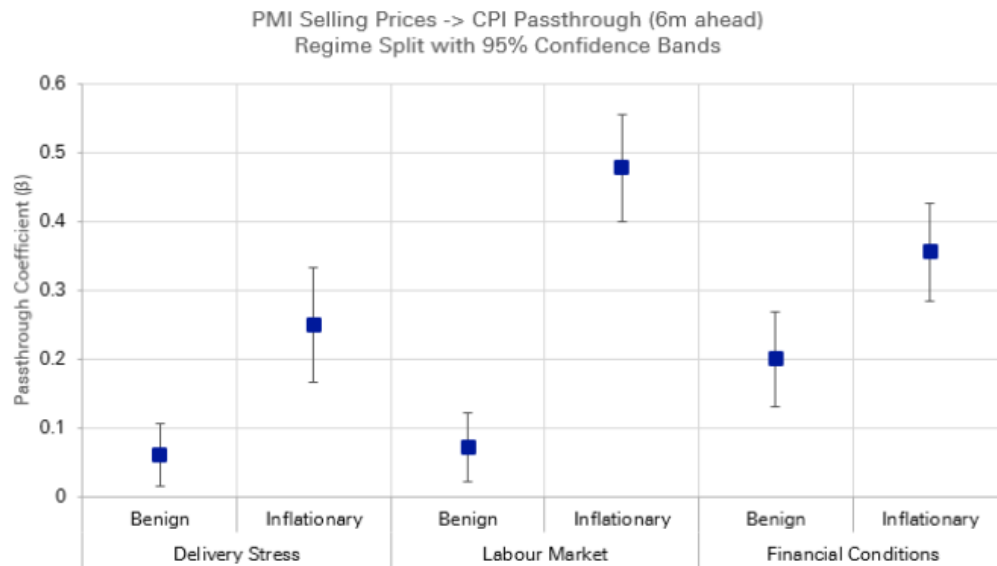


Source: Deutsche Bank, "Iran shock, supply constraints and firms' selling prices: worrying signs", [Europe Chart of the Week](#), 7 May 2026

State-contingent inflation: *Non-linear effects from supply constraints*



We find state-contingent effects in the relationship between selling price expectations in the surveys (we use the PMI) and HICP. We look at the passthrough relationship in different states (benign or inflationary) for delivery times, labour market (vacancies/unemployment ratio) and financial conditions. There is a clear state-dependency (LHS). We complement this with a quantile regression analysis and find a non-linear effect: the higher is inflation, the more likely that delivery times will have a stronger passthrough effect (RHS).

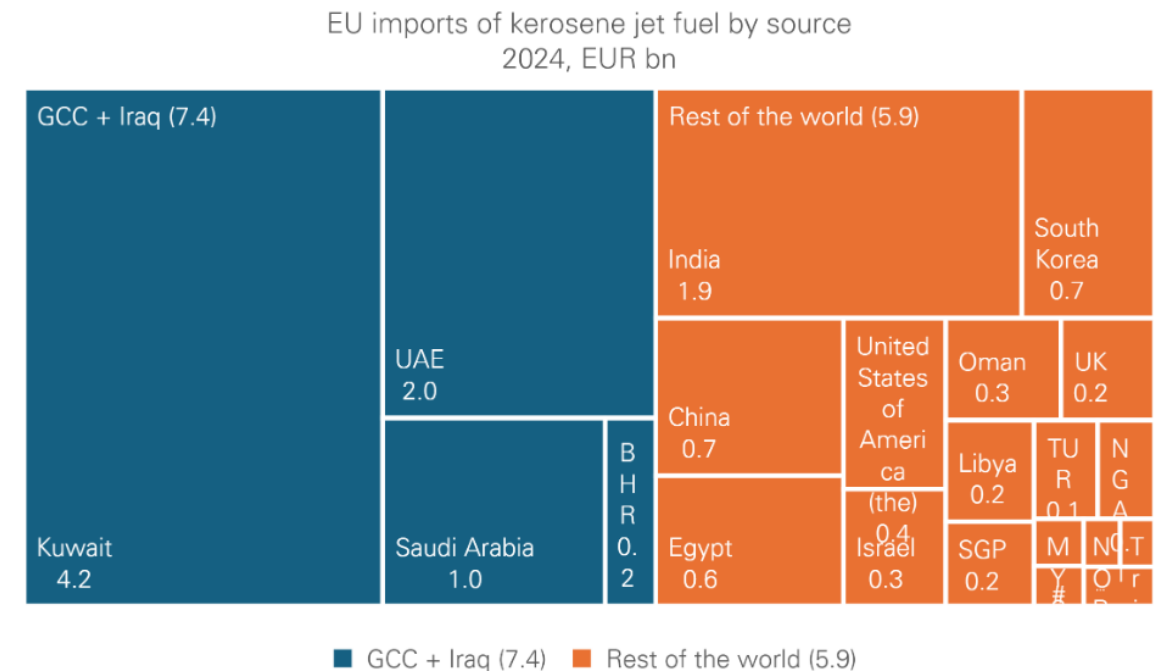
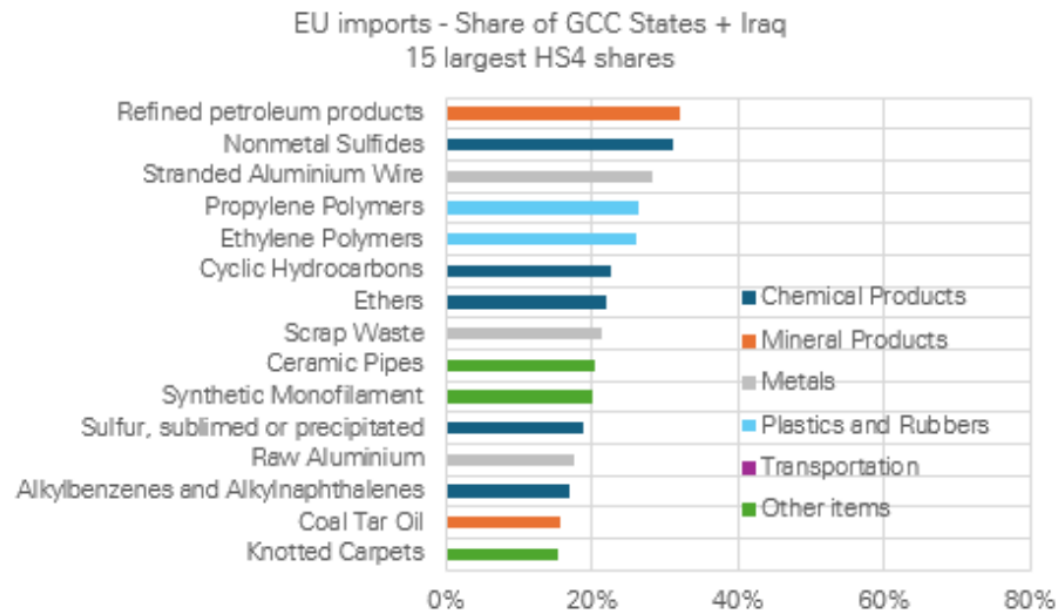


Source: Deutsche Bank, "How much passthrough? The state-contingency of euro area price surveys", [Europe Blog](#), 14 May 2026

Iran Shock: *Supply-chain vulnerabilities*



Recent supply chain stress, highlighted by European PMI data, has renewed focus on the continent's external vulnerabilities. Europe's exposure is twofold. First, a direct, tangible dependency on the Gulf for specific commodities like oil products (e.g., jet fuel, diesel), oil derivatives, chemicals and metals, representing a measurable cost. Second, a more elusive and structural indirect risk from "hidden" energy embedded within industrial imports, particularly from Asia.

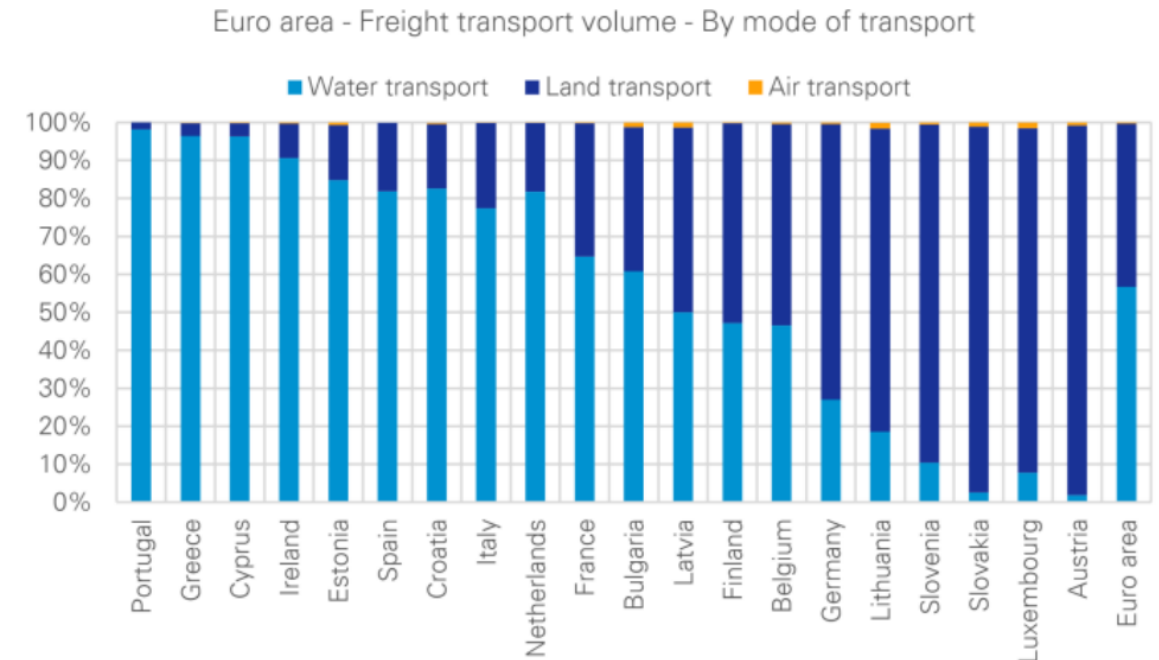
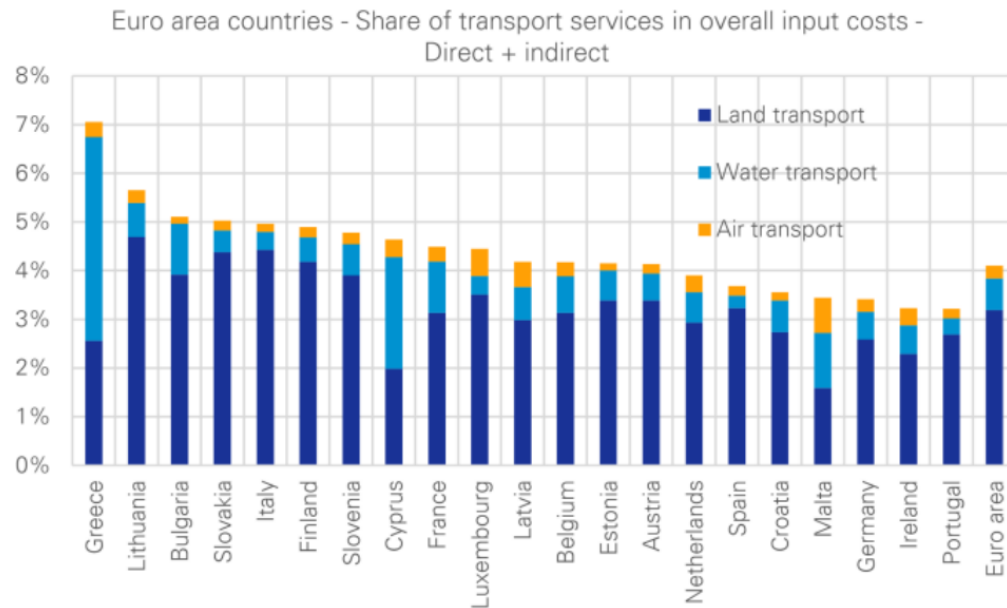


Source: Deutsche Bank, "Beyond the barrel: Europe's hidden energy vulnerability", [Focus Europe](#), 13 April 2026

The long road: *Quantifying Europe's exposure to transport disruption (1)*



Heightened geopolitical risk in the Middle East has placed European transport networks under intense scrutiny, with a particular focus on the supply of jet fuel given the high share of the Gulf in the global supply of kerosene. For the supply side of the European economy and overall input availability, the risk from a shortage of jet fuel is relatively small. The dominant fuel dependency for goods production is on diesel and electricity, reflecting the four-fifths share of input costs taken by land transport (road and rail).

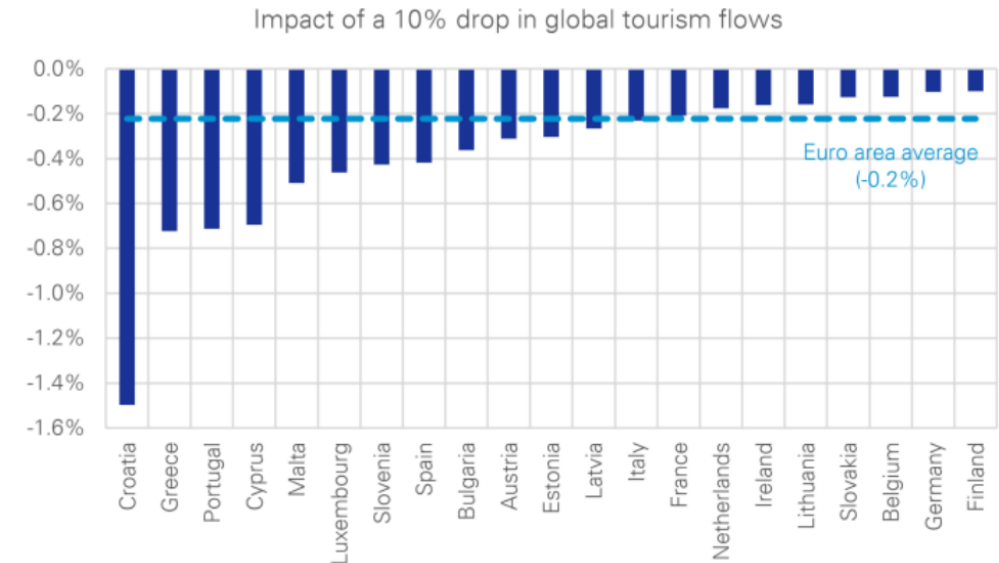
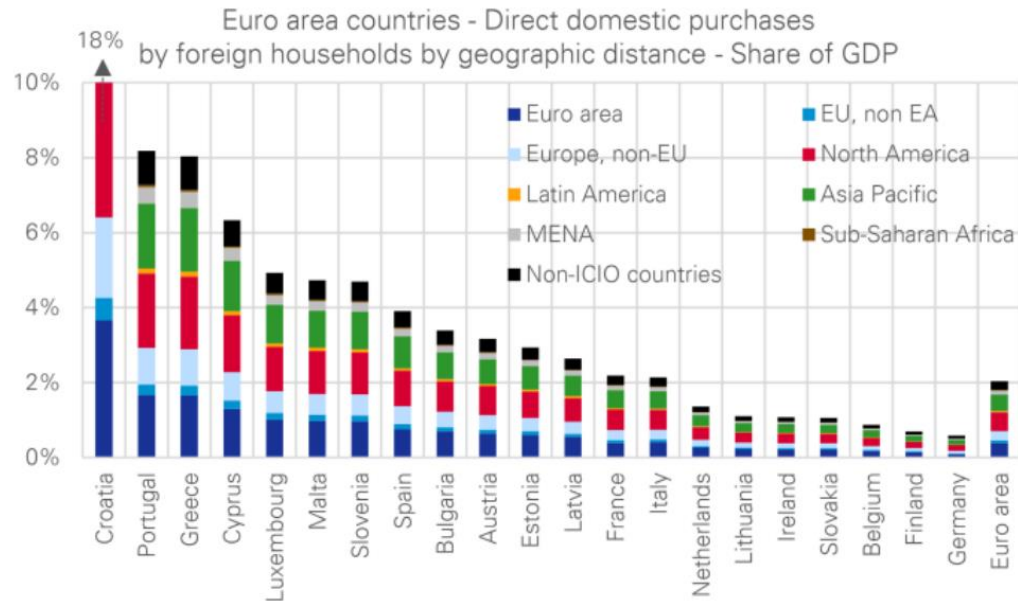


Source: Deutsche Bank, "The long road: Quantifying Europe's exposure to transport disruption", [Europe Blog](#), 6 May 2026

The long road: *Quantifying Europe's exposure to transport disruption (2)*



The true vulnerability to a shortage of jet fuel lies squarely with the tourism sector. Our simulation shows a 10% drop in tourism flows would have a moderate impact on the Euro Area, on average (-0.2% of GDP), but a more significant impact on countries like Croatia (-1.5%), Greece, and Portugal (-0.7%).

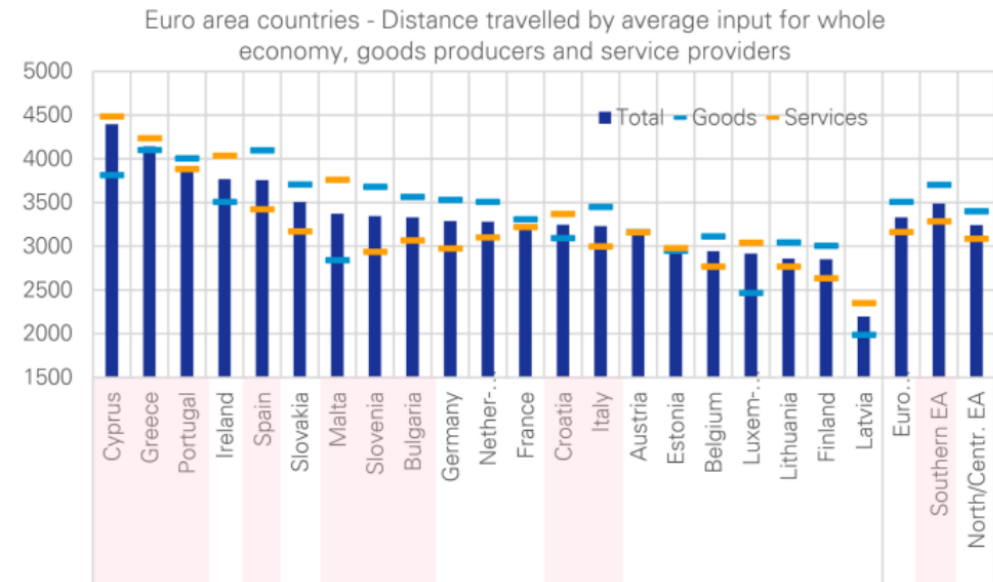
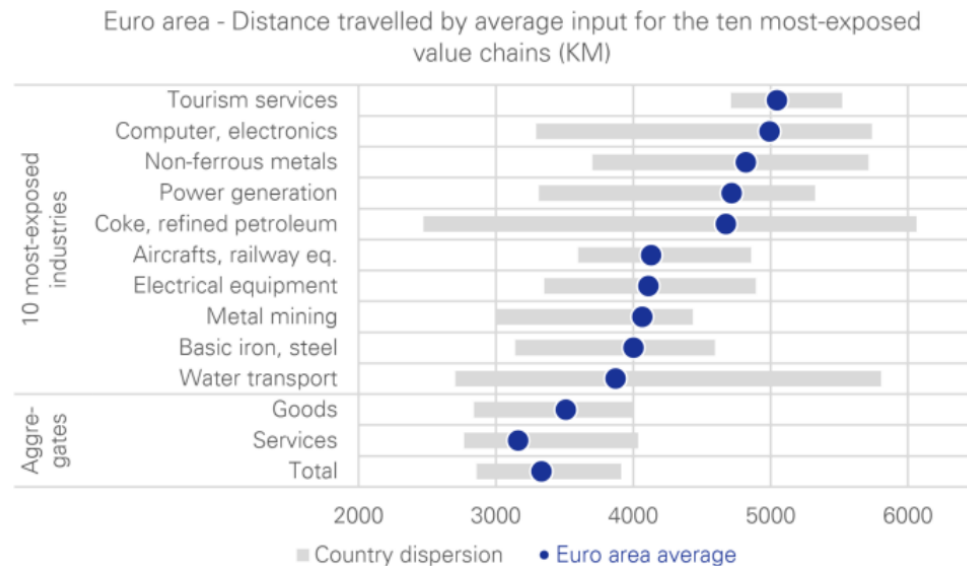


Source: Deutsche Bank, "The long road: Quantifying Europe's exposure to transport disruption", [Europe Blog](#), 6 May 2026

The long road: *Quantifying Europe's exposure to transport disruption (3)*



To measure the vulnerability of Europe to a disruption to the global supply of transport, we introduce a “physical distance travelled” metric, reflecting how far inputs travel for every industry. It reveals two critical points. First, a clear geographic divide. The economies with the longest supply chains are generally located in Southern Europe. Second, a dual ‘hidden’ risk. Beyond tourism, the most sectors vulnerable sectors are capital goods and materials manufacturing – the same sectors exposed to the ‘hidden’ energy content (because much of these come from Asia).

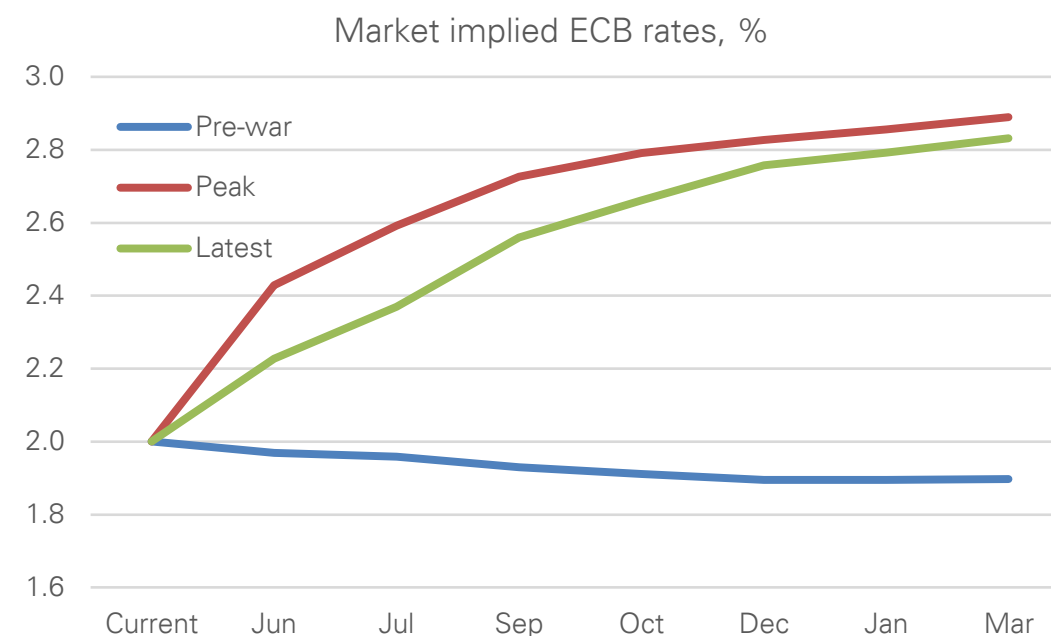
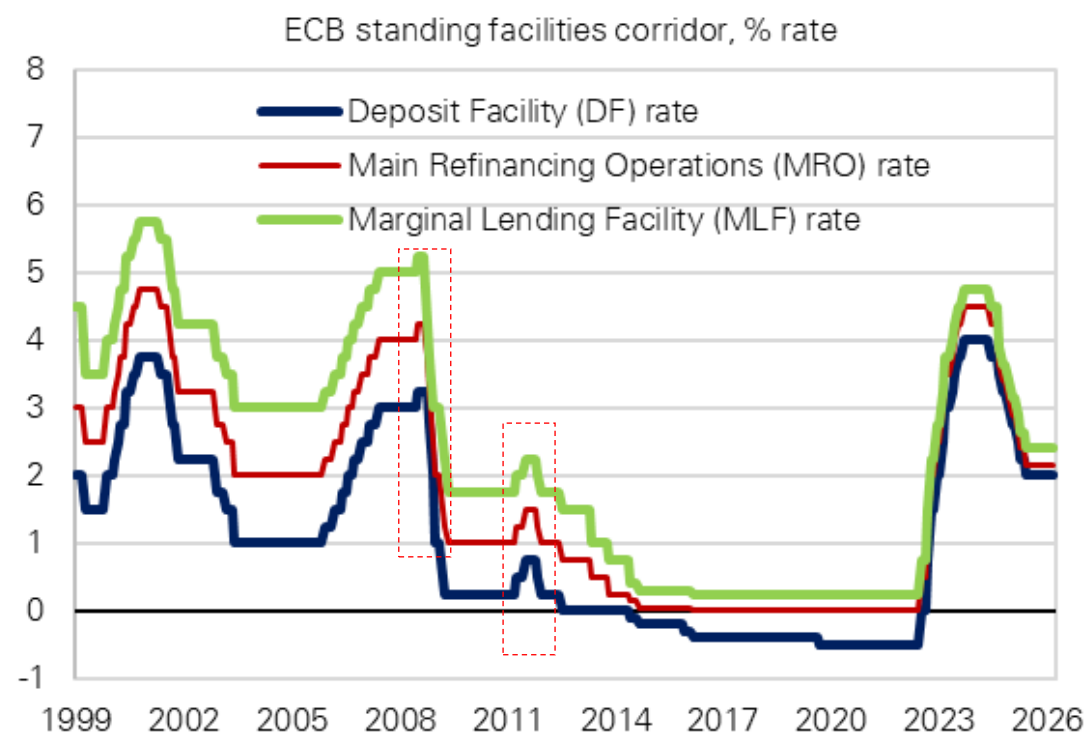


Source: Deutsche Bank, “The long road: Quantifying Europe's exposure to transport disruption”, [Europe Blog](#), 6 May 2026

ECB: *Will it hike? How much and when?*



President Lagarde has presented three policy options: (1) to ‘look through’ if the inflation shock is small and temporary, (2) a ‘measured’ tightening if the inflation shock is large but not too persistent, and (3) a ‘forceful or persistent’ tightening if there is a large and sustained inflation shock. If the conflict ends quickly, there is still a chance the ECB does not hike. Our baseline is a ‘measured’ 50bp of hikes to 2.50%, the upper end of neutral (hikes in Jun & Sep). This is good risk management: it signals the commitment to price stability without overly burdening growth. We pencil in hikes for Jun/Sep.

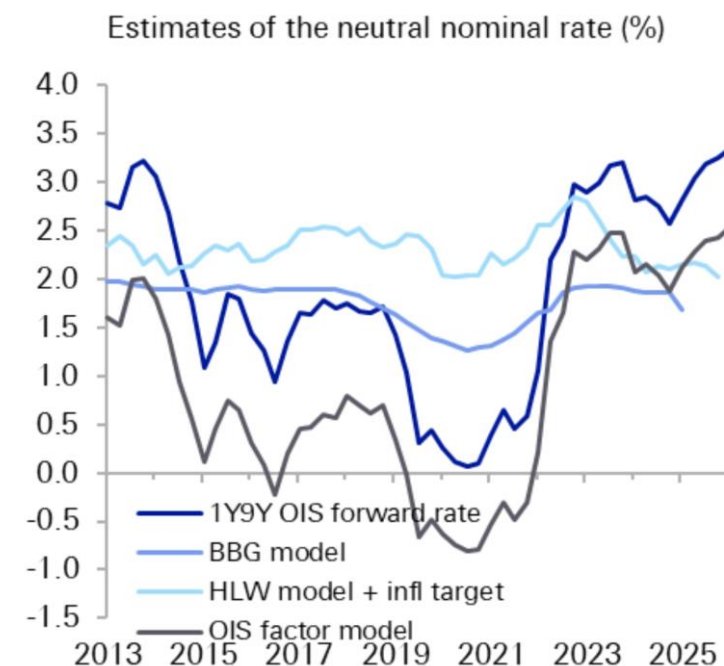
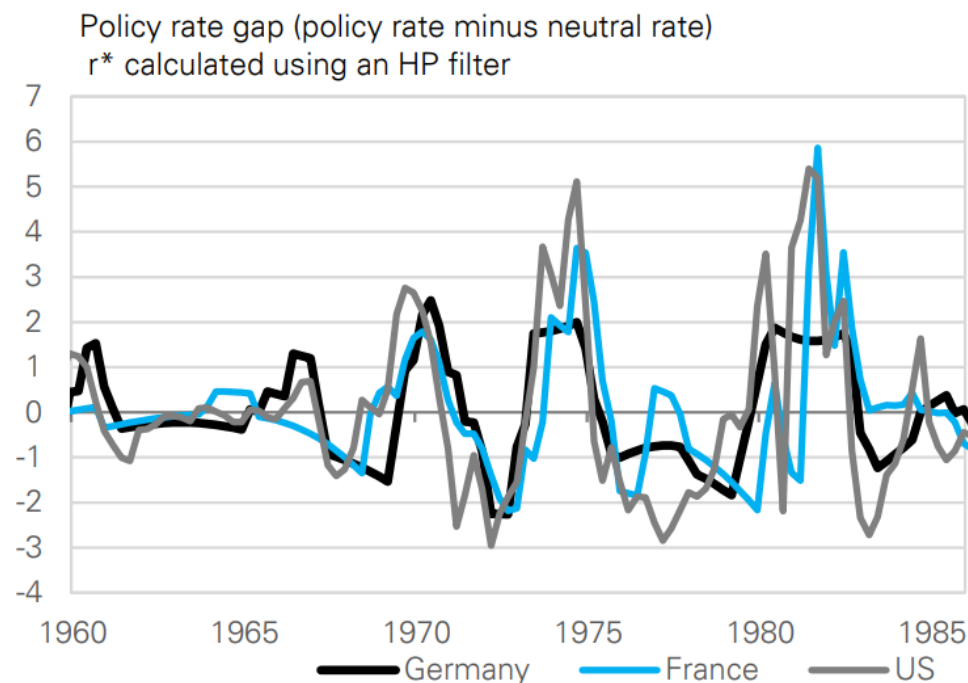


Source: Deutsche Bank, “Keeping calm and carrying on to 2.50%”, [Focus Europe](#), 19 March 2026

ECB: *Would it be a mistake to hike?*



A stagflationary shocks carries upside risks to inflation, downside to growth: there is risk of policy error on both sides. If energy costs remain elevated the ECB will lean hawkish, in particular with its communications, to ensure the risk of passthrough is curbed. The ECB will be aware of the downside risks to growth: fuel shortages (rationing); job shedding; higher household savings; and tighter financial conditions (including potential unintended consequences of hikes, e.g., private credit). Ultimately the growth risks mean: (1) limits to hikes, and (2) a potentially non-linear relationship between energy costs and the ECB response.



Source: Deutsche Bank, "What history tell us the ECB will have to do to defeat inflation", [Europe Blog](#), 18 January 2023, "Iran Shock and Economic Growth: Handle with Care!", *Focus Europe*, 10 April 2026

DB Forecasts: *Euro Area Medium-Term Macro Views*



Annual average growth rates, unless stated

Euro area medium-term forecasts	2024	2025	2026F	2027F	2028F
Real GDP, % yoy	0.9	1.5	0.5	1.1	1.2
HICP inflation, % yoy	2.4	2.1	2.8	2.2	2.2
Core inflation, % yoy	2.8	2.4	2.3	2.2	2.1
ECB deposit rate, % eop	3.00	2.00	2.50	2.50	2.50
ECB refi rate, % eop	3.15	2.15	2.65	2.65	2.65

Source: Deutsche Bank

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DB Forecasts: *Euro Area Macro Views*



	Real GDP % growth ^a			CPI % growth ^c		
	2025	2026F	2027F	2025	2026F	2027F
EU	1.6	0.9	1.3	2.5	3.1	2.6
Euro area	1.5	0.5	1.1	2.1	3.0	2.4
Germany ^b	0.2	0.5	1.3	2.3	2.9	2.5
France	0.9	0.6	0.9	0.9	2.3	1.7
Italy	0.7	0.5	0.7	1.7	2.9	1.9
Spain	2.8	1.8	1.8	2.7	3.2	2.4
Netherlands	1.8	0.3	0.9	3.0	3.0	2.6
Belgium	1.0	0.3	1.0	3.0	3.1	2.4
Austria	0.7	0.3	1.2	3.6	3.0	2.5
Finland	0.2	0.7	1.3	1.8	2.2	1.4
Greece	2.2	1.5	1.4	2.9	3.5	2.5
Portugal	1.9	1.1	1.2	2.2	2.8	2.2
Ireland	12.4	1.0	1.9	2.1	3.7	2.6
UK	1.4	0.9	1.2	3.4	3.1	2.6
US	2.1	2.4	2.2	2.7	3.3	2.5
China	5.0	4.9	4.5	0.1	1.5	2.0
Japan	1.2	0.8	1.0	3.2	1.8	2.2
Advanced Economies	1.7	1.5	1.6	2.6	3.0	2.4
Emerging Markets	4.5	4.3	4.4	3.9	4.6	4.3
World	3.4	3.3	3.3	3.4	4.0	3.6

Source: Deutsche Bank, National Statistical Offices. See "Iran shock, supply constraints and firms' selling prices: worrying signs", [Europe Chart Of The Week](#), 7 May 2026

DB Forecasts: *Euro Area Macro Views*



Euro area, % qoq	Q3 25	Q4 25F	Q1 26	Q2 26F	Q3 26F	Q4 26F	Q1 27F	Q2 27F	Q3 27F	Q4 27F	2025	2026F	2027F
GDP	0.3	0.2	0.1	0.0	0.1	0.3	0.4	0.4	0.4	0.2	1.5	0.5	1.1
HICP inflation, % yoy	2.1	2.1	2.0	3.2	3.4	3.5	3.2	2.3	2.1	2.1	2.1	3.0	2.4
Core inflation, % yoy	2.3	2.4	2.3	2.3	2.5	2.5	2.5	2.3	2.2	2.2	2.4	2.4	2.3
EMU4 GDP, % qoq													
Germany	0.0	0.2	0.3	-0.2	0.1	0.4	0.3	0.3	0.3	0.3	0.2	0.5	1.3
France	0.6	0.2	0.0	0.0	0.1	0.2	0.3	0.3	0.3	0.3	0.9	0.6	0.9
Italy	0.2	0.3	0.2	-0.1	0.0	0.2	0.2	0.3	0.2	0.2	0.7	0.5	0.7
Spain	0.6	0.8	0.6	0.1	0.1	0.2	0.6	0.6	0.7	0.6	2.8	1.8	1.8
Central Bank Rates (eop)													
ECB deposit rate	2.00	2.00	2.00	2.25	2.50	2.50	2.50	2.50	2.50	2.50			
BoE bank rate	4.00	3.75	3.75	3.75	3.75	3.75	3.75	3.50	3.25	3.25			
US Fed funds target rate	4.125	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625			
PBOC 1Y MLF rate	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40			
BoJ O/N call rate	0.50	0.75	0.75	0.75	1.00	1.00	1.25	1.25	1.25	1.25			

Source: Deutsche Bank, National Statistical Offices. See "Iran shock, supply constraints and firms' selling prices: worrying signs", [Europe Chart Of The Week](#), 7 May 2026

Appendix 1

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